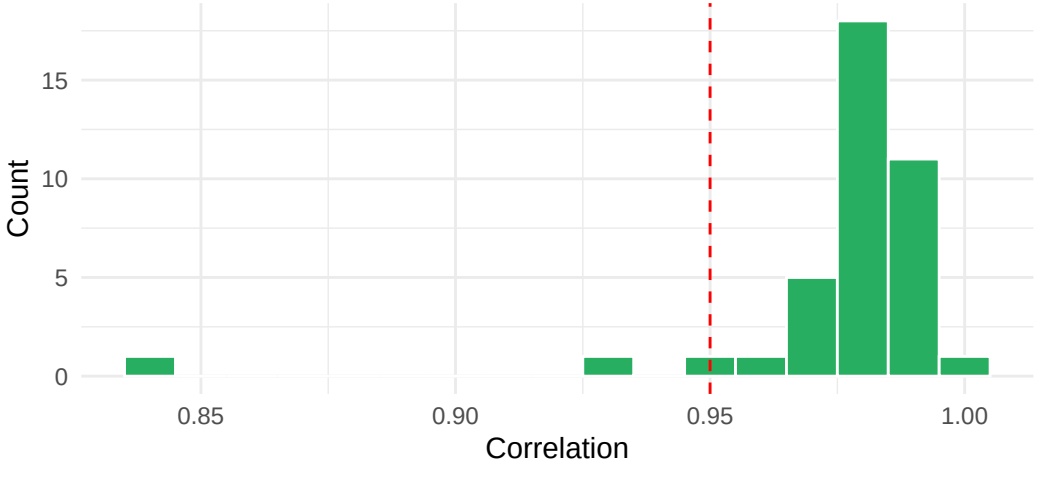
Daily−to−Monthly Factor Replication Audit

Generated: 2026−02−09

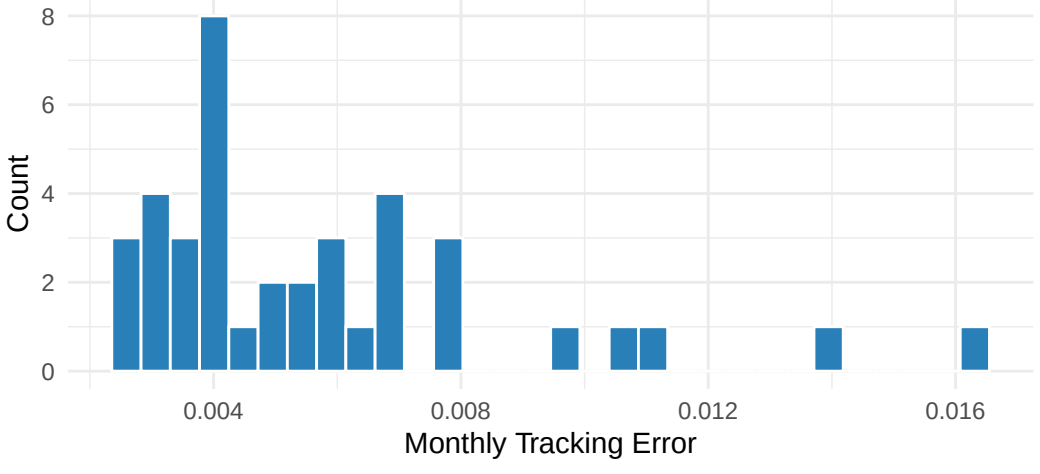
Total Factors: 39
Average Correlation: 0.97652
Minimum Correlation: 0.84189
Factors Flipped: 22

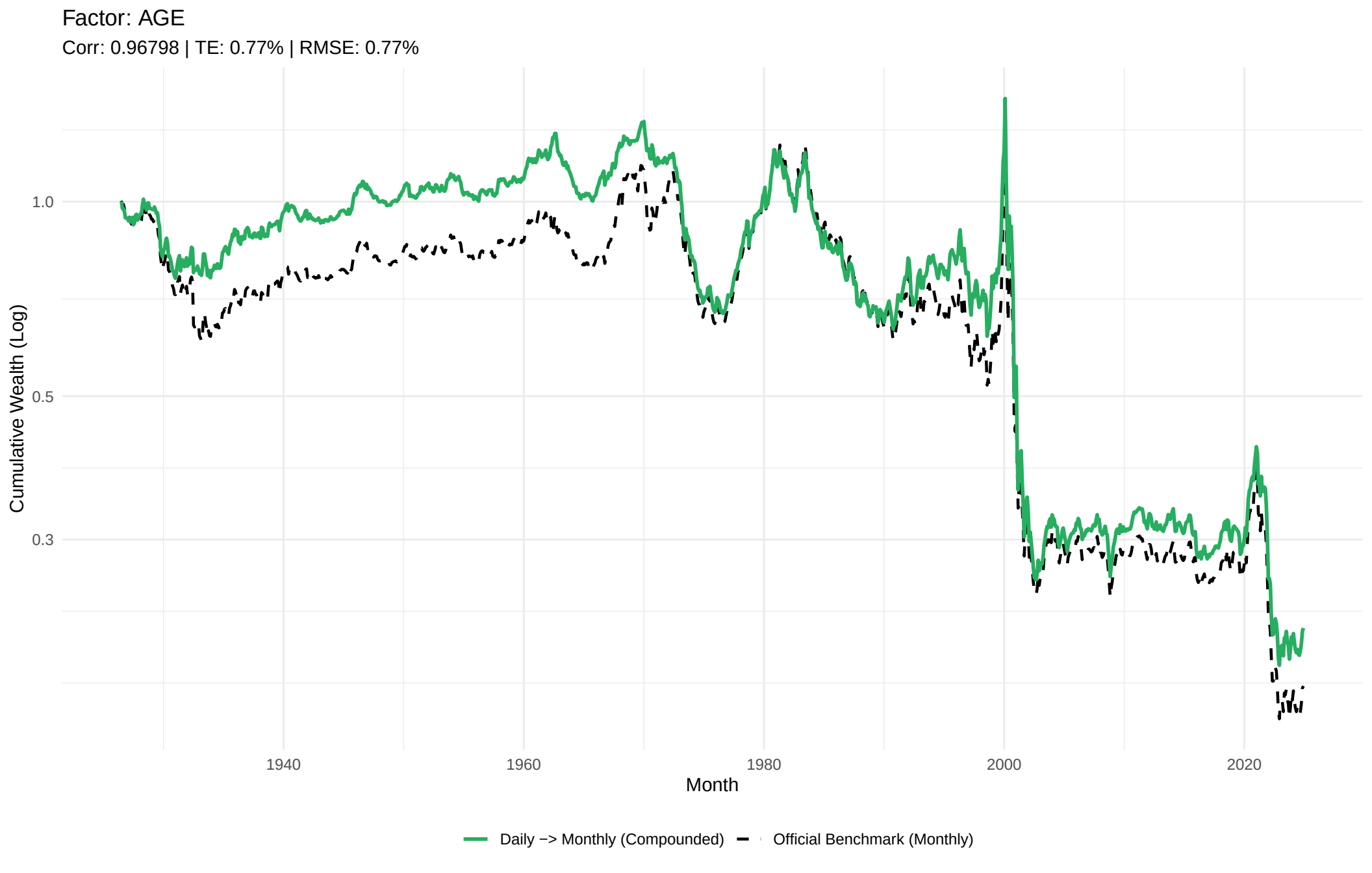
Method: Daily portfolio sorts compounded to monthly
Status: . PASSED

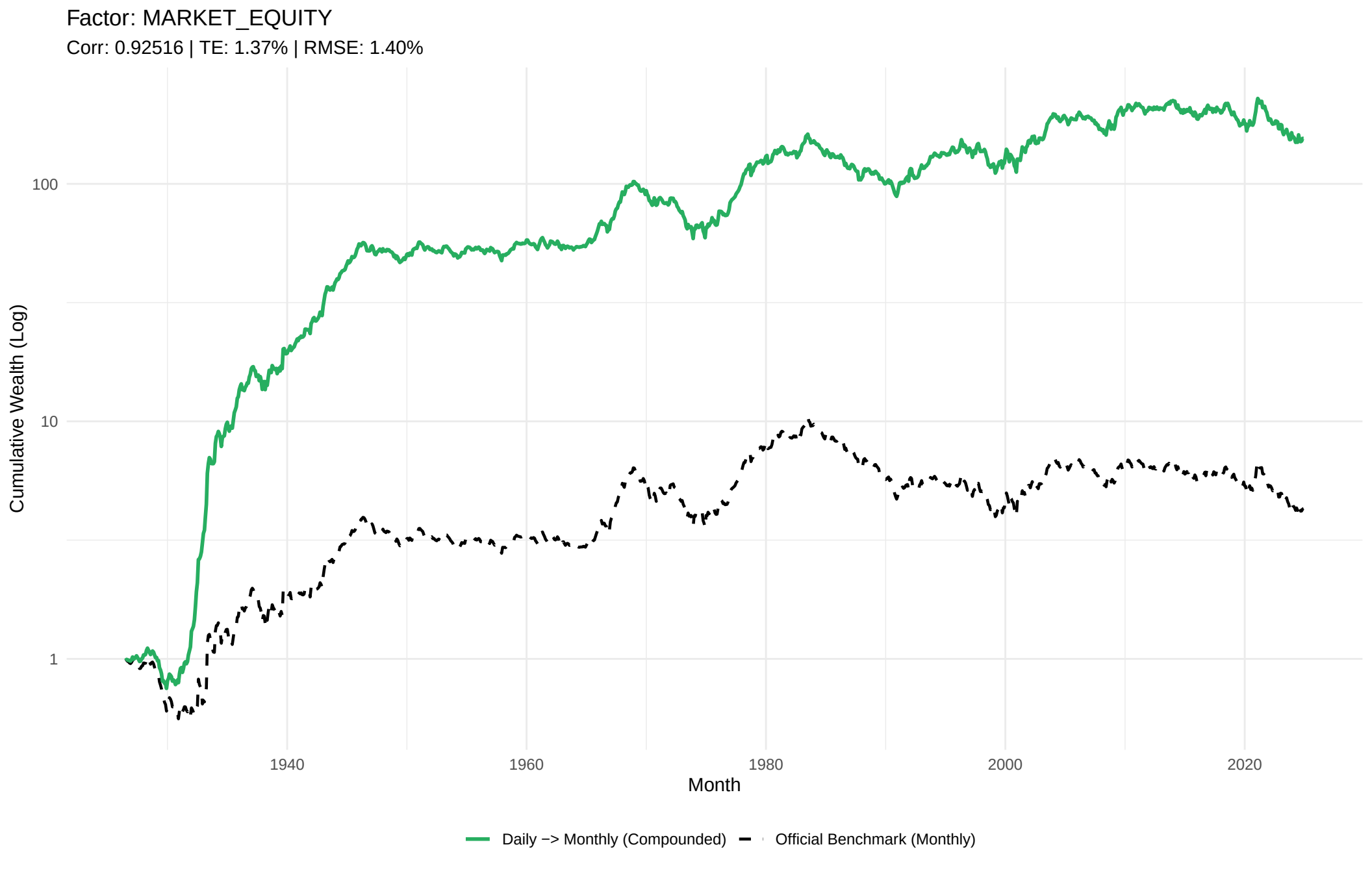
Correlation Distribution

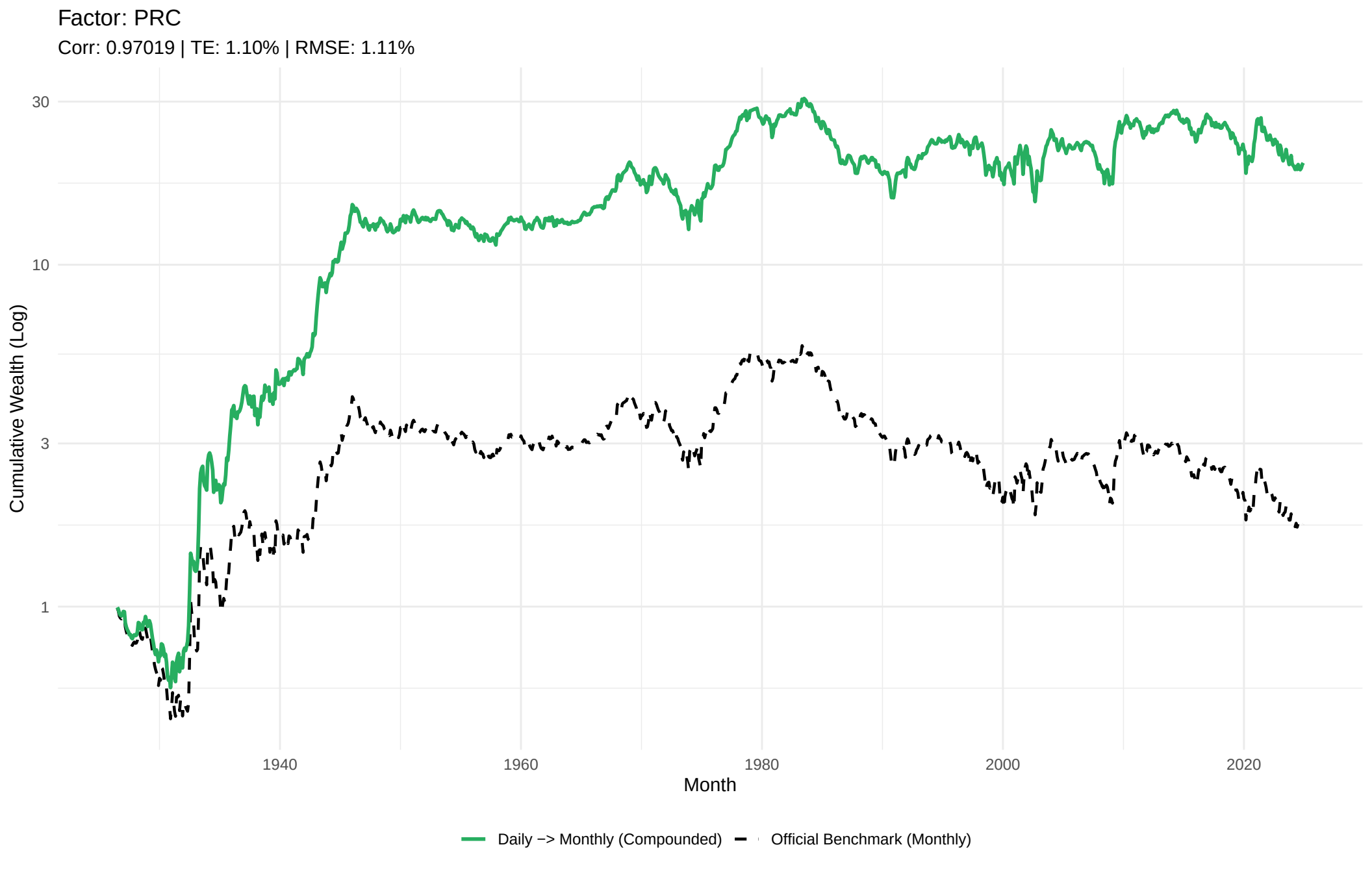


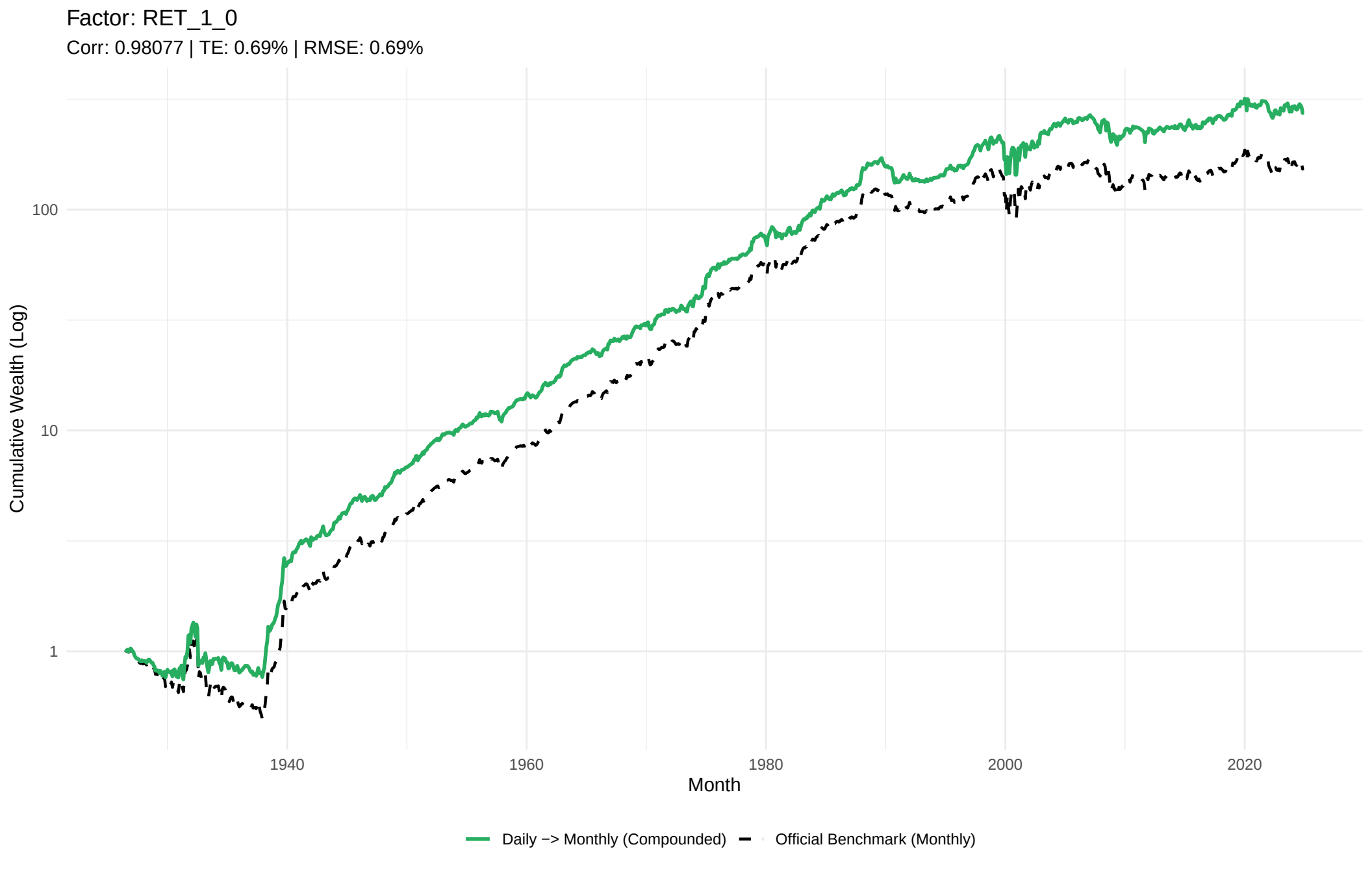
Tracking Error Distribution

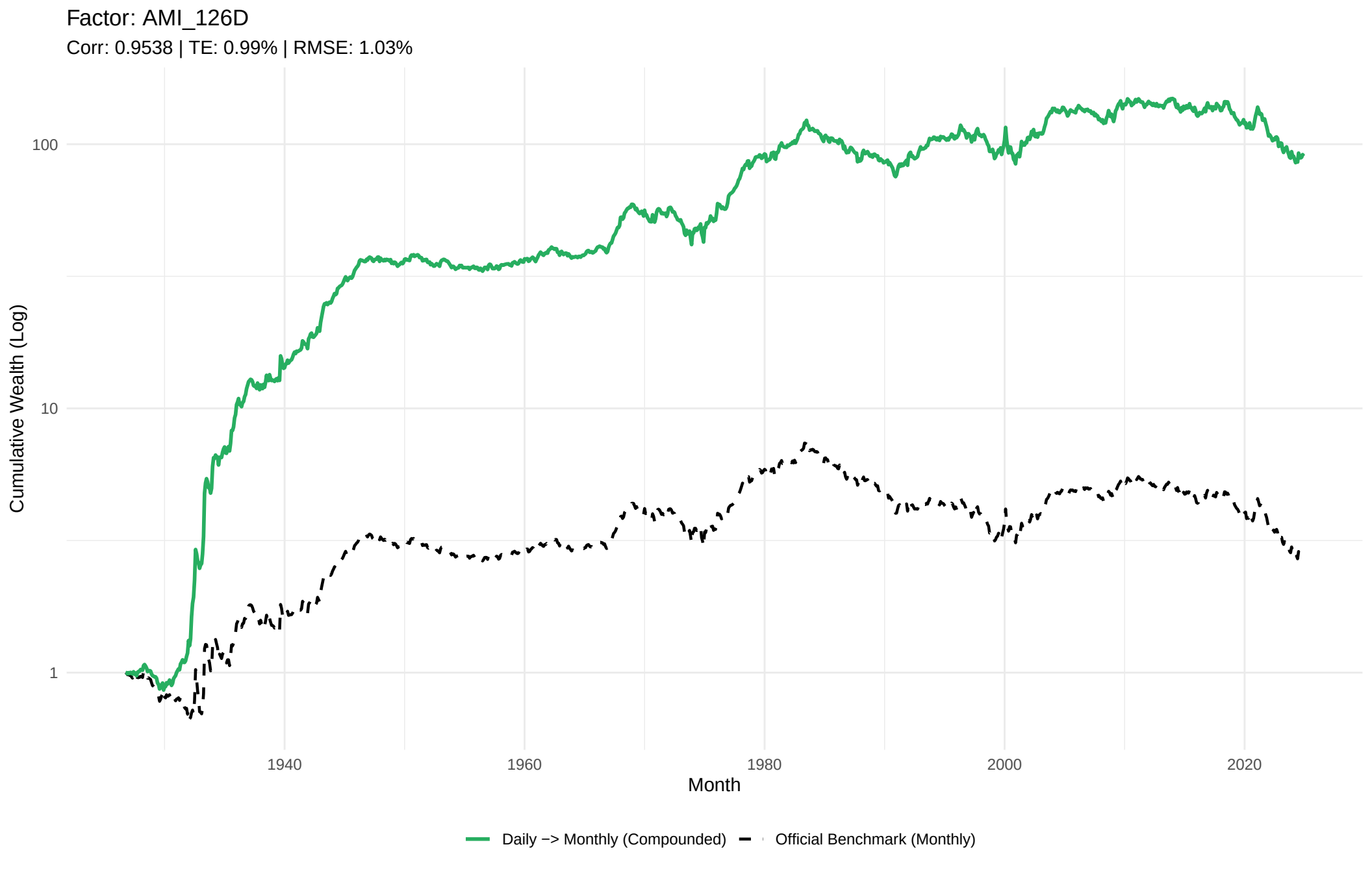


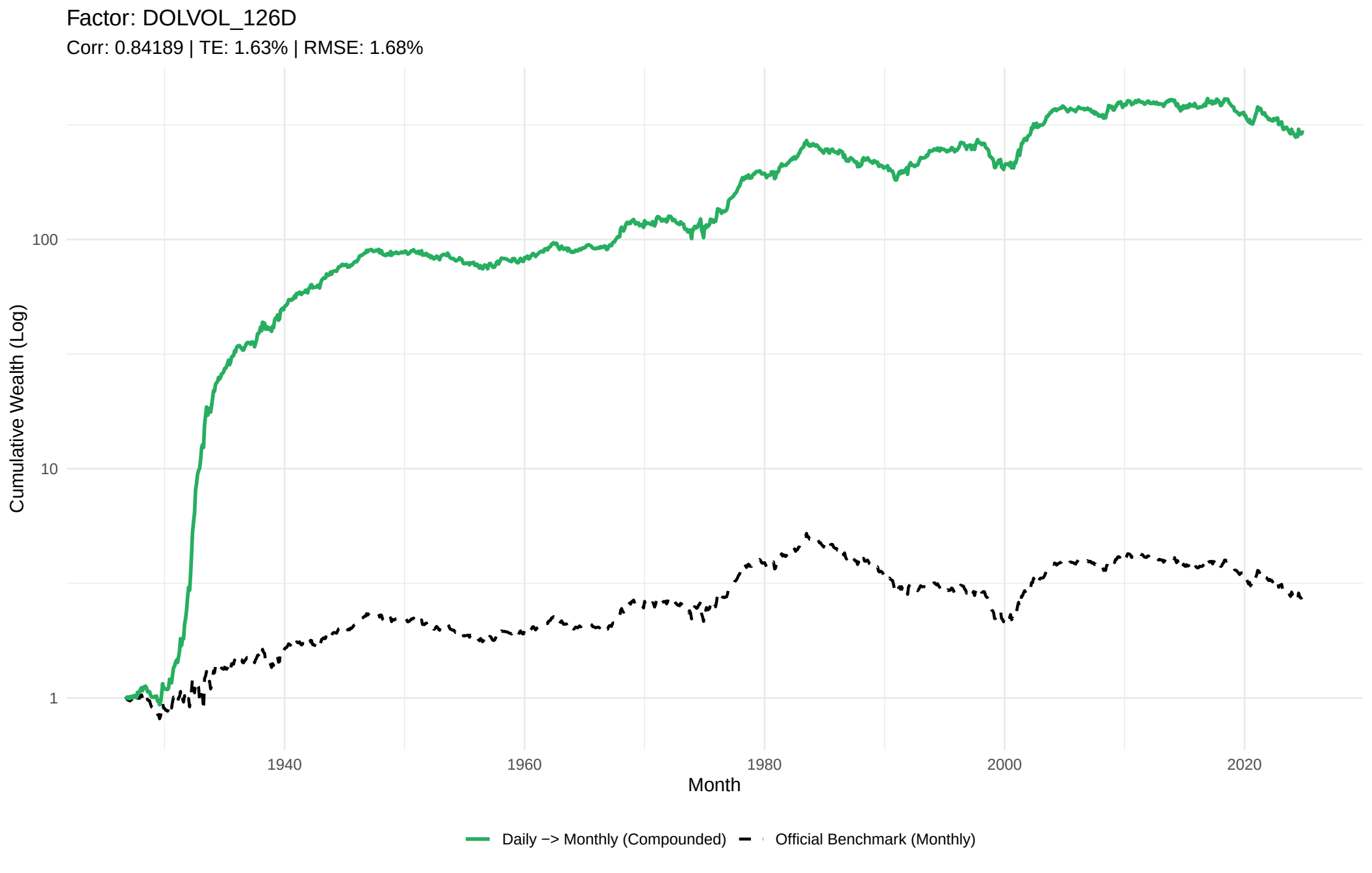

Factor: AGE
Corr: 0.96798 | TE: 0.77% | RMSE: 0.77%
Cumulative Wealth (Log)
1.0
0.5
0.3
1940
1960
1980
2000
2020
Month
Daily −> Monthly (Compounded)
Official Benchmark (Monthly)

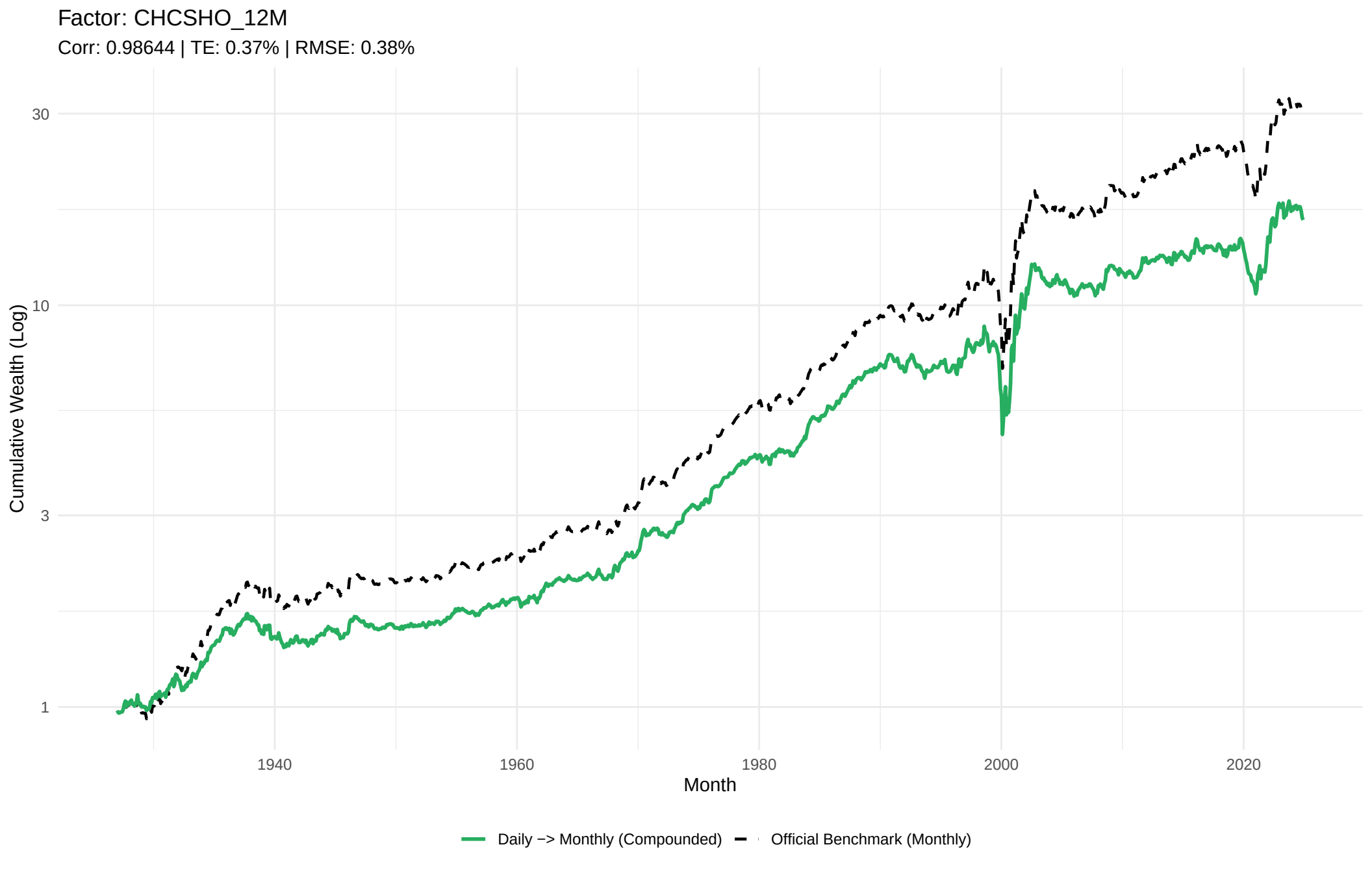

Factor: MARKET_EQUITY
Corr: 0.92516 | TE: 1.37% | RMSE: 1.40%
100
10
1
Cumulative Wealth (Log)
1940
1960
1980
2000
2020
Month
Daily −> Monthly (Compounded)
Official Benchmark (Monthly)

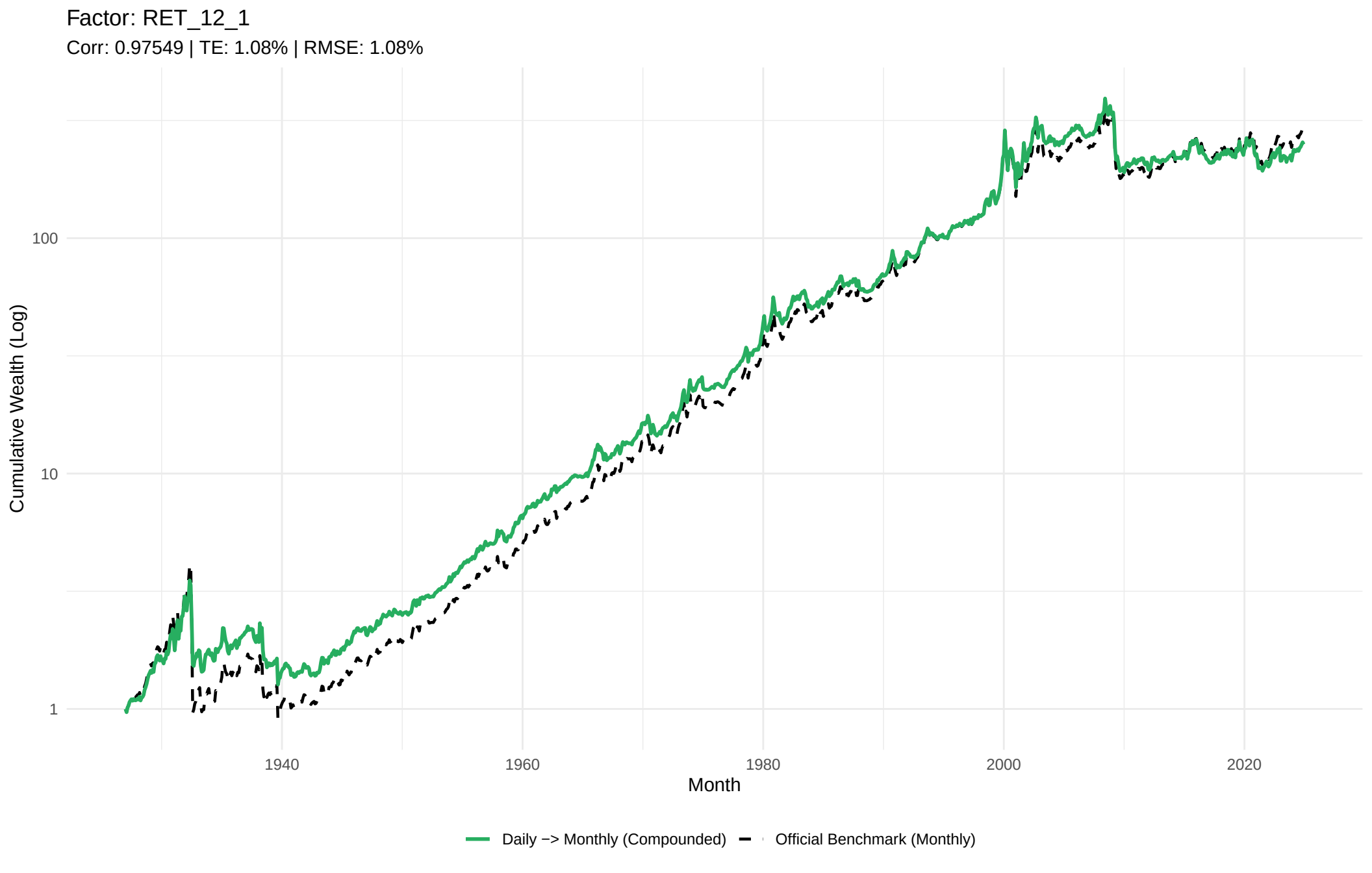

Factor: PRC
Corr: 0.97019 | TE: 1.10% | RMSE: 1.11%
30
10
3
1
Cumulative Wealth (Log)
1940
1960
1980
2000
2020
Month
Daily −> Monthly (Compounded)
Official Benchmark (Monthly)

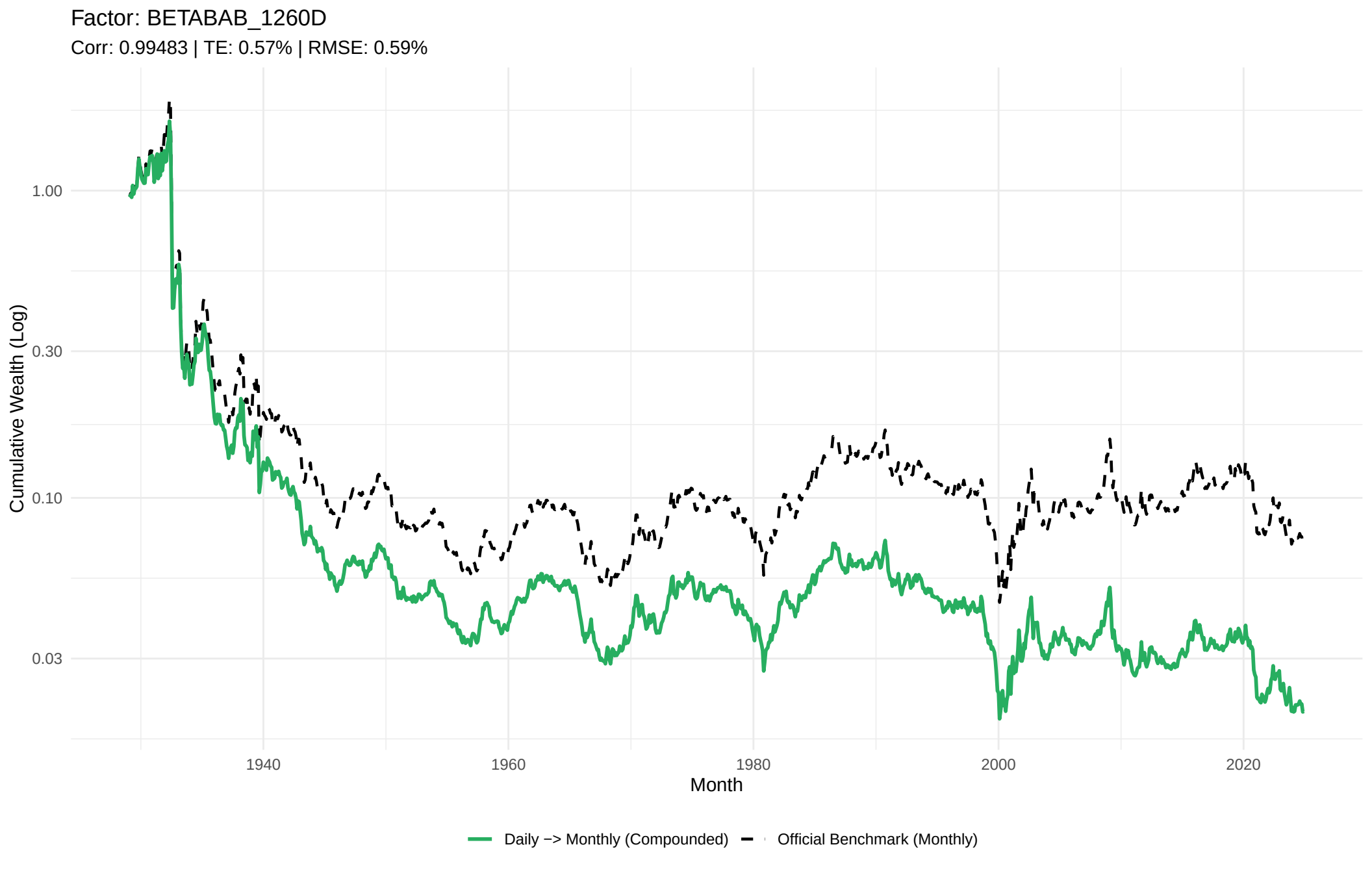

Factor: RET_1_0
Corr: 0.98077 | TE: 0.69% | RMSE: 0.69%
Cumulative Wealth (Log)
100
10
1
1940
1960
1980
2000
2020
Month
Daily −> Monthly (Compounded)
Official Benchmark (Monthly)

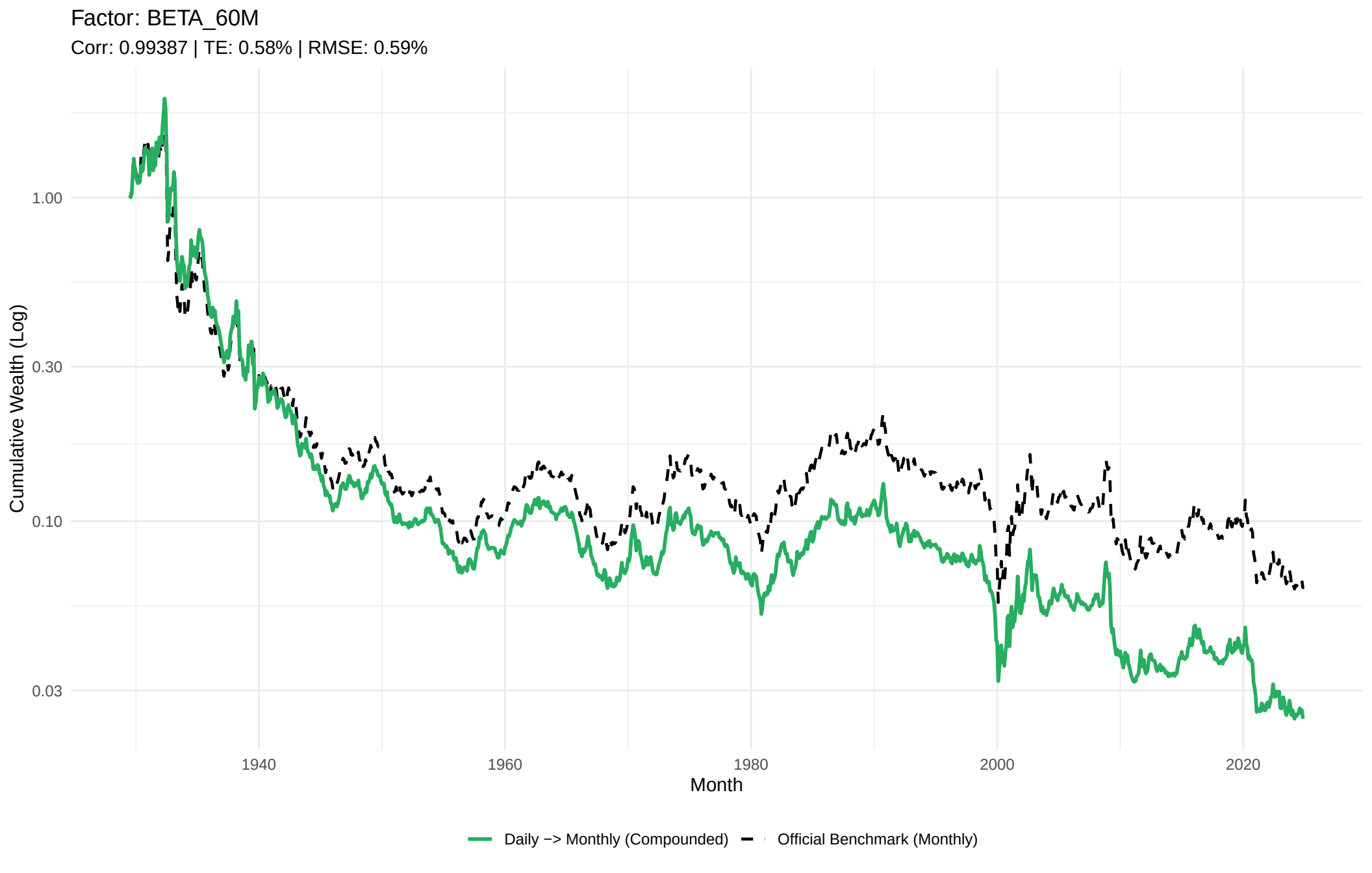

Factor: AMI_126D
Corr: 0.9538 | TE: 0.99% | RMSE: 1.03%
100
10
1
Cumulative Wealth (Log)
1940
1960
1980
2000
2020
Month
Daily −> Monthly (Compounded)
Official Benchmark (Monthly)

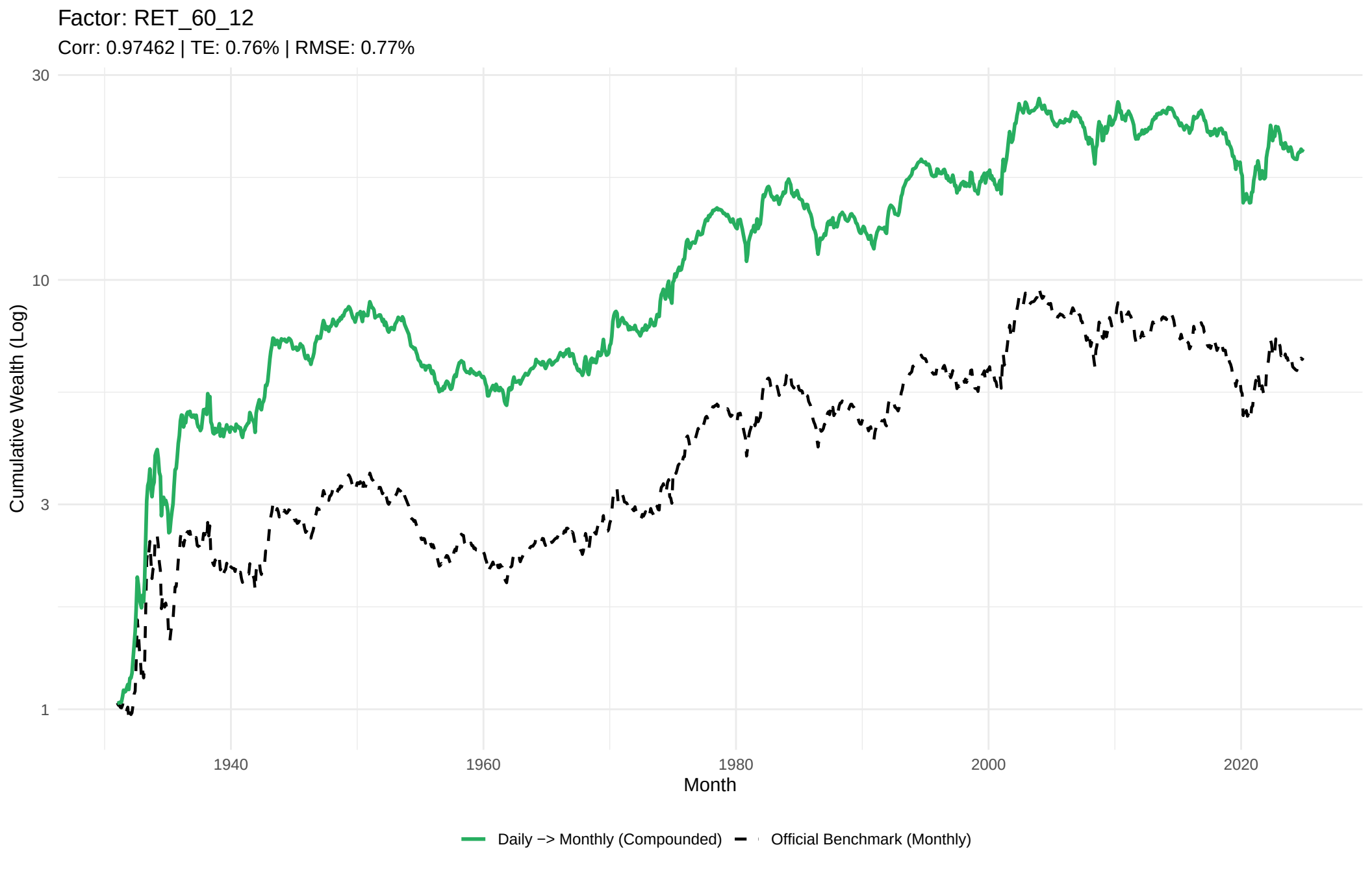

Factor: DOLVOL_126D
Corr: 0.84189 | TE: 1.63% | RMSE: 1.68%
Cumulative Wealth (Log)
100
10
1
1940
1960
1980
2000
2020
Month
Daily −> Monthly (Compounded)
Official Benchmark (Monthly)

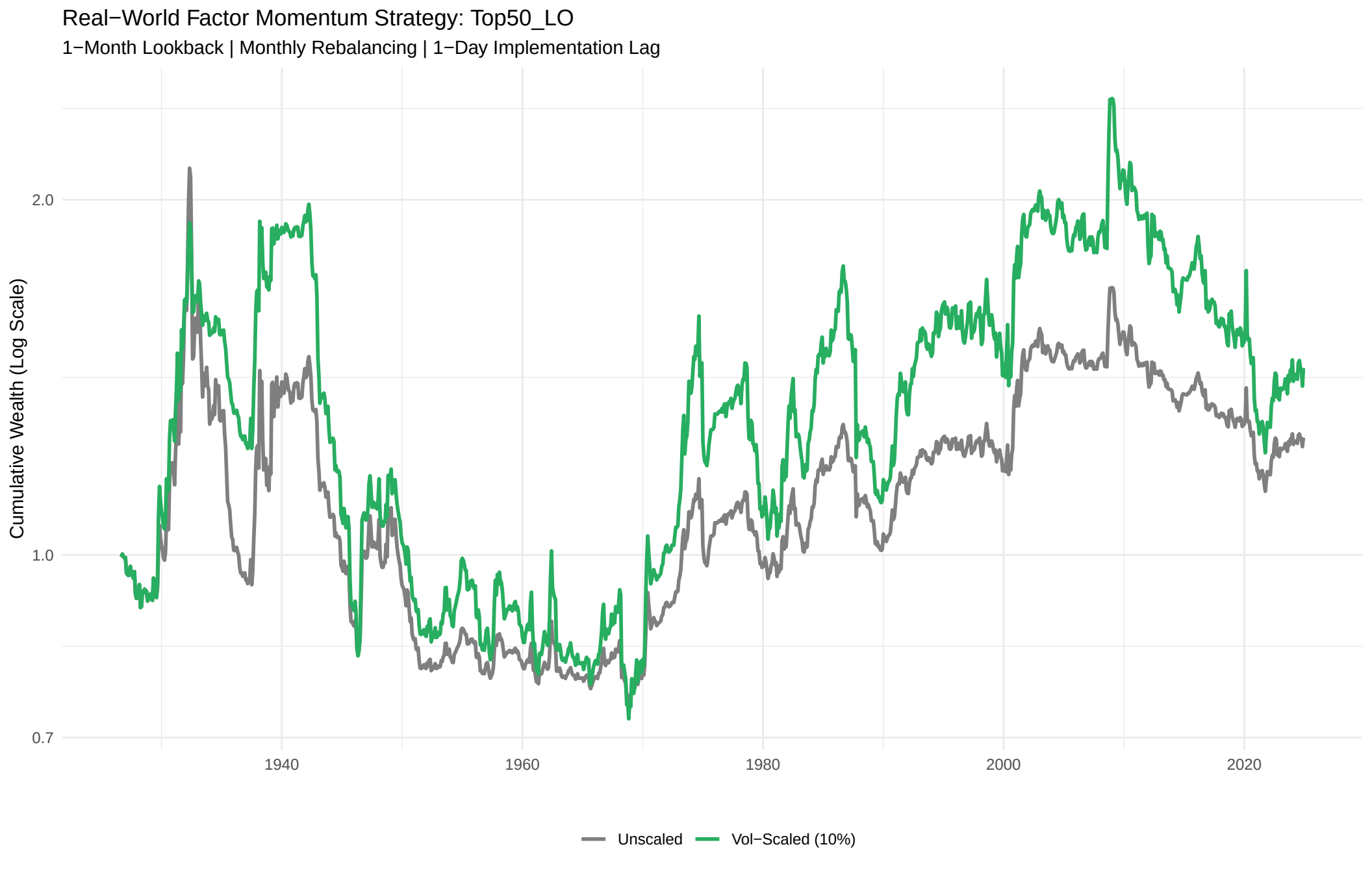

Factor: CHCSHO_12M
Corr: 0.98644 | TE: 0.37% | RMSE: 0.38%
30
10
3
1
Cumulative Wealth (Log)
1940
1960
1980
2000
2020
Month
Daily −> Monthly (Compounded)
Official Benchmark (Monthly)

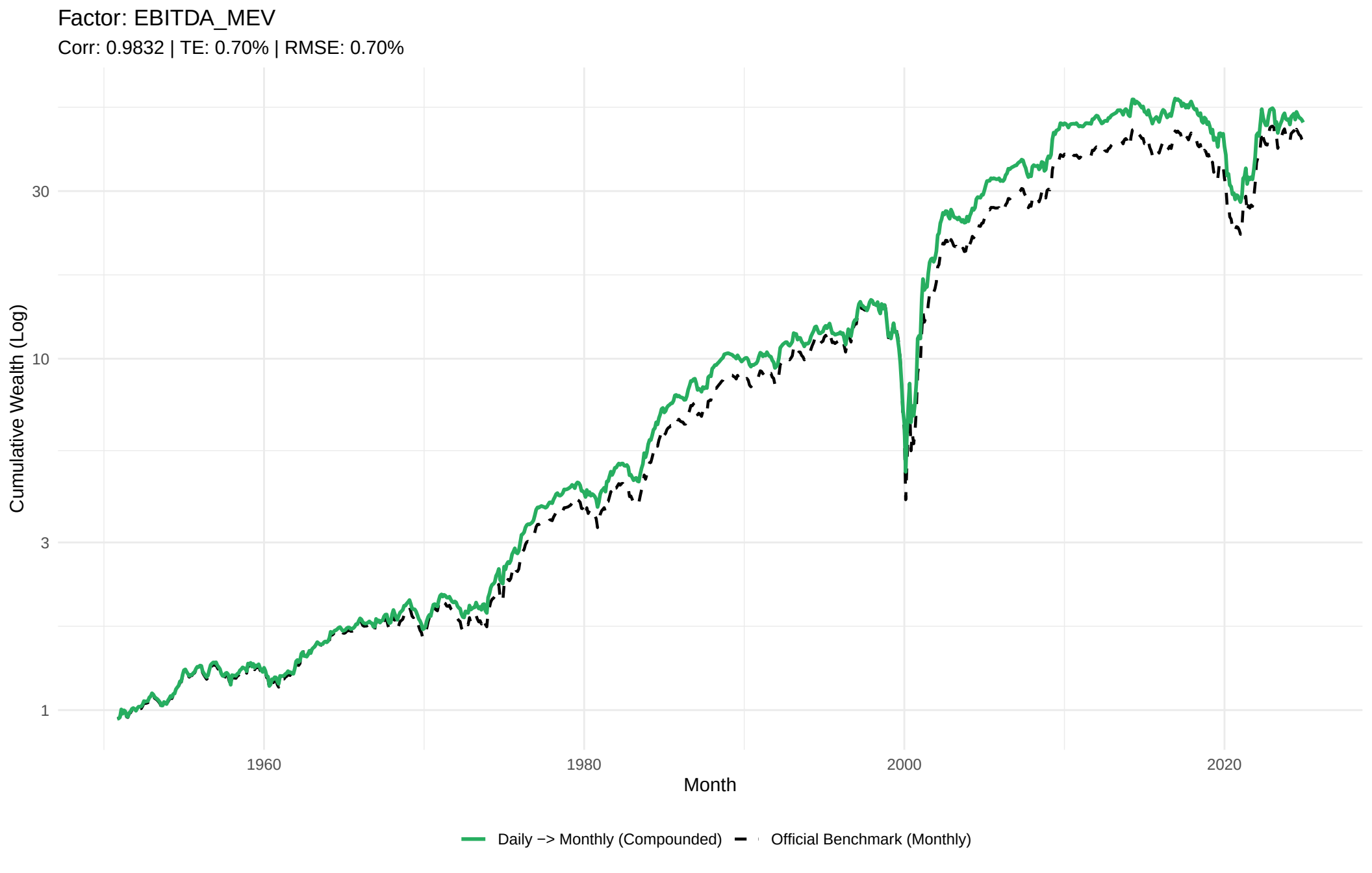

Factor: RET_12_1
Corr: 0.97549 | TE: 1.08% | RMSE: 1.08%
Cumulative Wealth (Log)
100
10
1
1940
1960
1980
2000
2020
Month
Daily −> Monthly (Compounded)
Official Benchmark (Monthly)

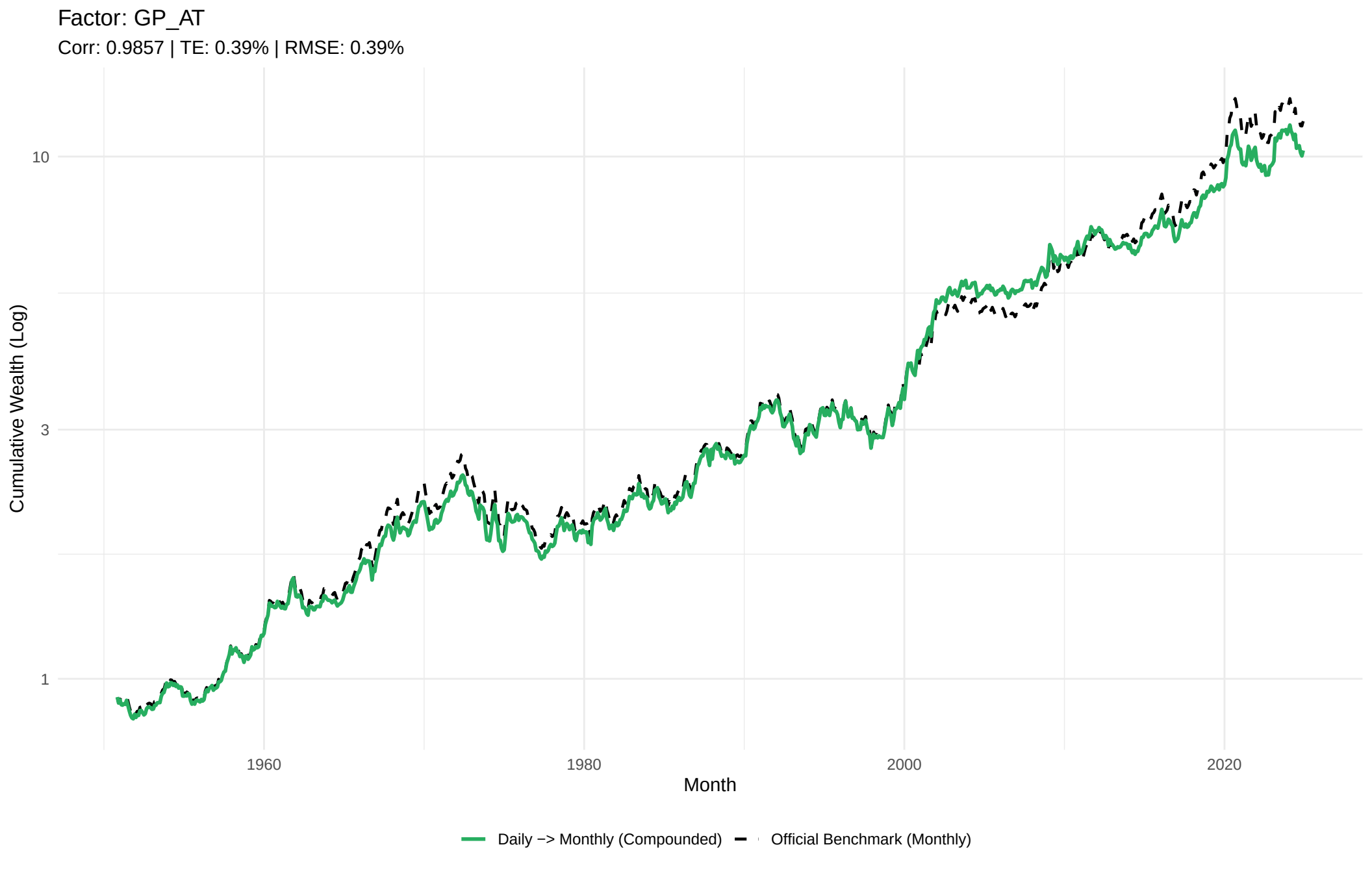

Factor: BETABAB_1260D
Corr: 0.99483 | TE: 0.57% | RMSE: 0.59%
Cumulative Wealth (Log)
1.00
0.30
0.10
0.03
1940
1960
1980
2000
2020
Month
Daily −> Monthly (Compounded)
Official Benchmark (Monthly)


Factor: BETA_60M
Corr: 0.99387 | TE: 0.58% | RMSE: 0.59%
Cumulative Wealth (Log)
1.00
0.30
0.10
0.03
1940
1960
1980
2000
2020
Month
Daily −> Monthly (Compounded)
Official Benchmark (Monthly)

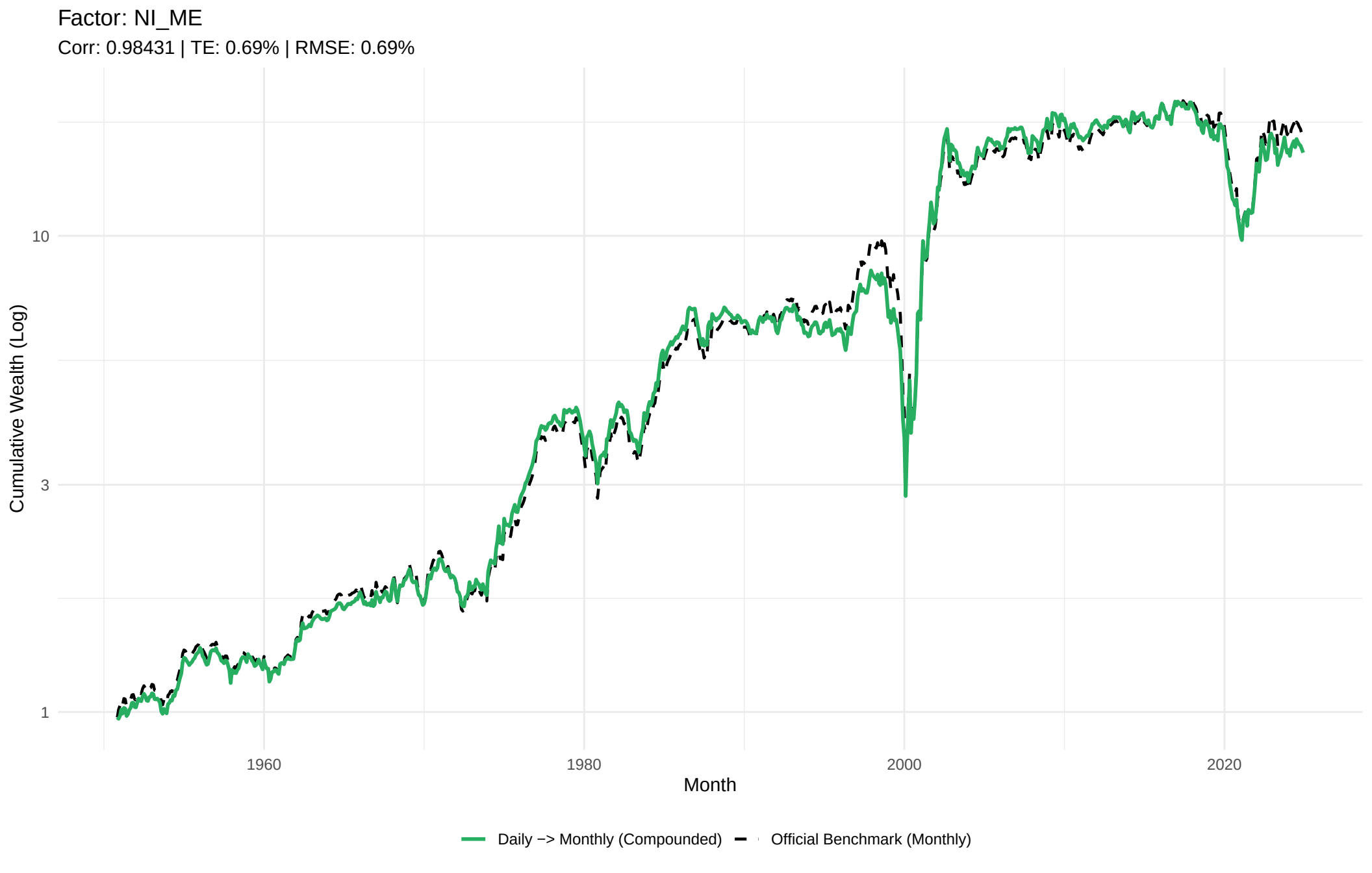

Factor: RET_60_12
Corr: 0.97462 | TE: 0.76% | RMSE: 0.77%
30
10
3
1
Cumulative Wealth (Log)
1940
1960
1980
2000
2020
Month
Daily −> Monthly (Compounded)
Official Benchmark (Monthly)

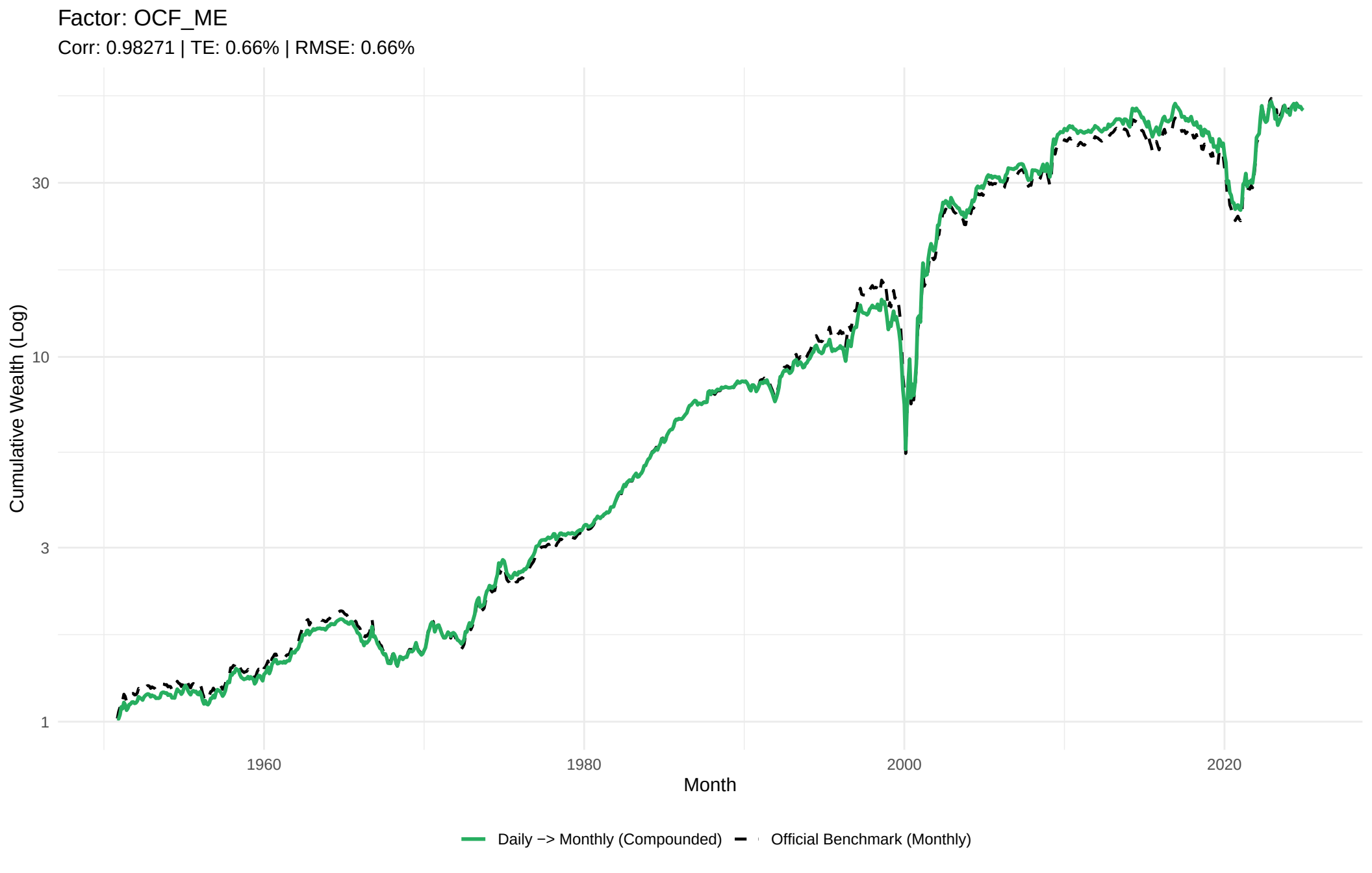

Real−World Factor Momentum Strategy: Top50_LO
1−Month Lookback | Monthly Rebalancing | 1−Day Implementation Lag
Cumulative Wealth (Log Scale)
2.0
1.0
0.7
1940
1960
1980
2000
2020
Unscaled
Vol−Scaled (10%)

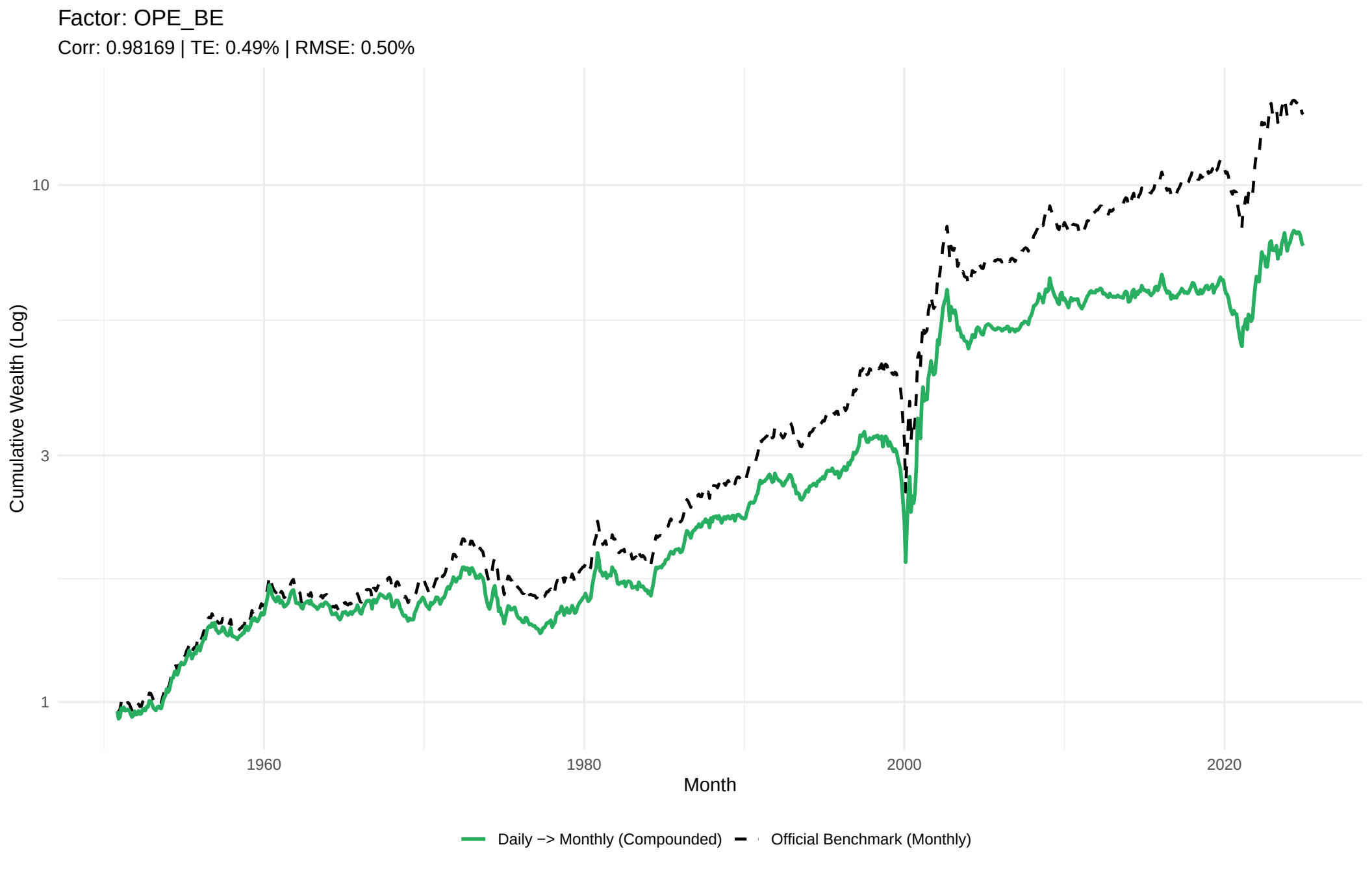

Factor: EBITDA_MEV
Corr: 0.9832 | TE: 0.70% | RMSE: 0.70%
Cumulative Wealth (Log)
30
10
3
1
1960
1980
2000
2020
Month
Daily −> Monthly (Compounded)
Official Benchmark (Monthly)

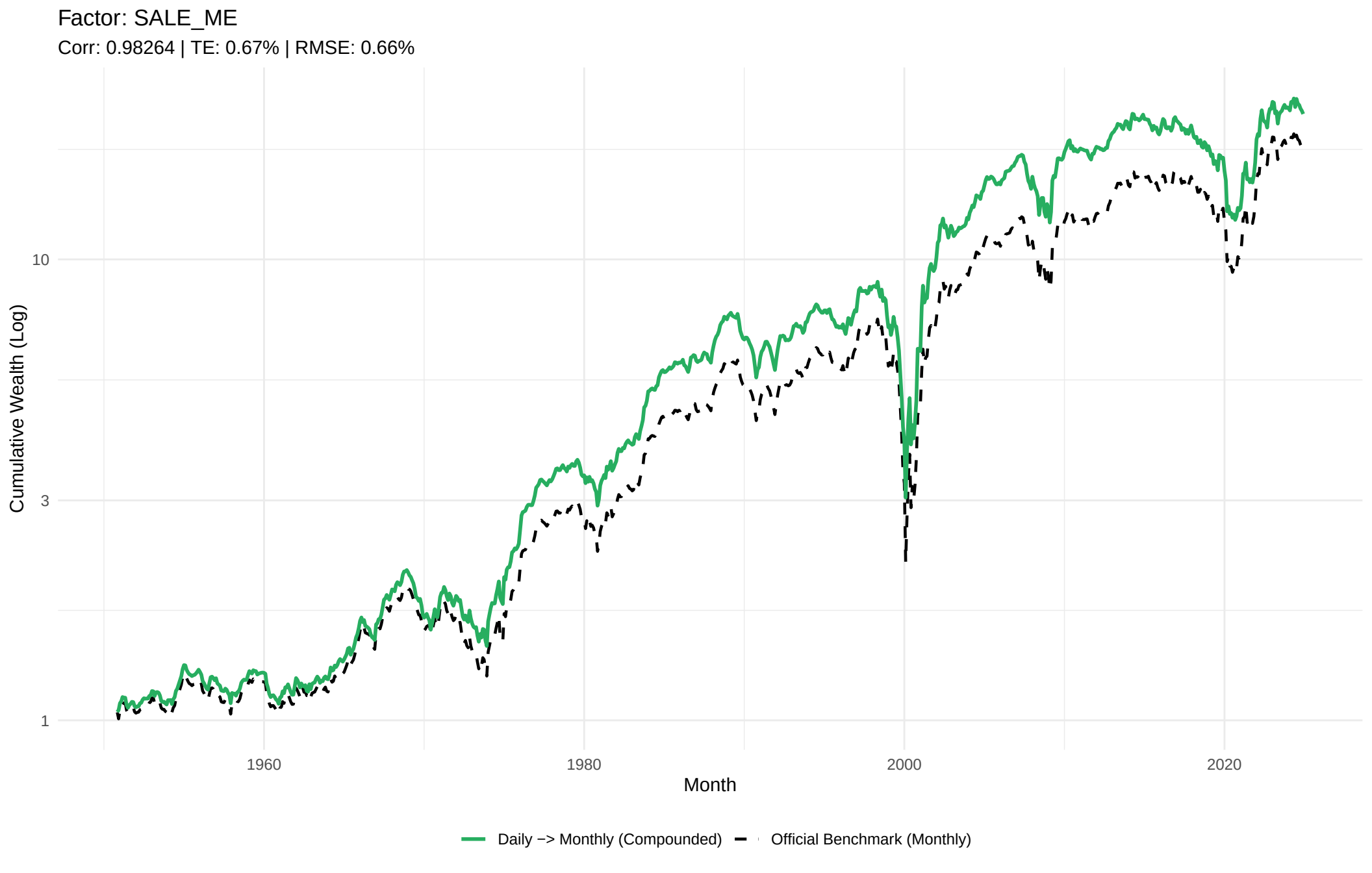

Factor: GP_AT
Corr: 0.9857 | TE: 0.39% | RMSE: 0.39%
Cumulative Wealth (Log)
10
3
1
1960
1980
2000
2020
Month
Daily −> Monthly (Compounded)
Official Benchmark (Monthly)

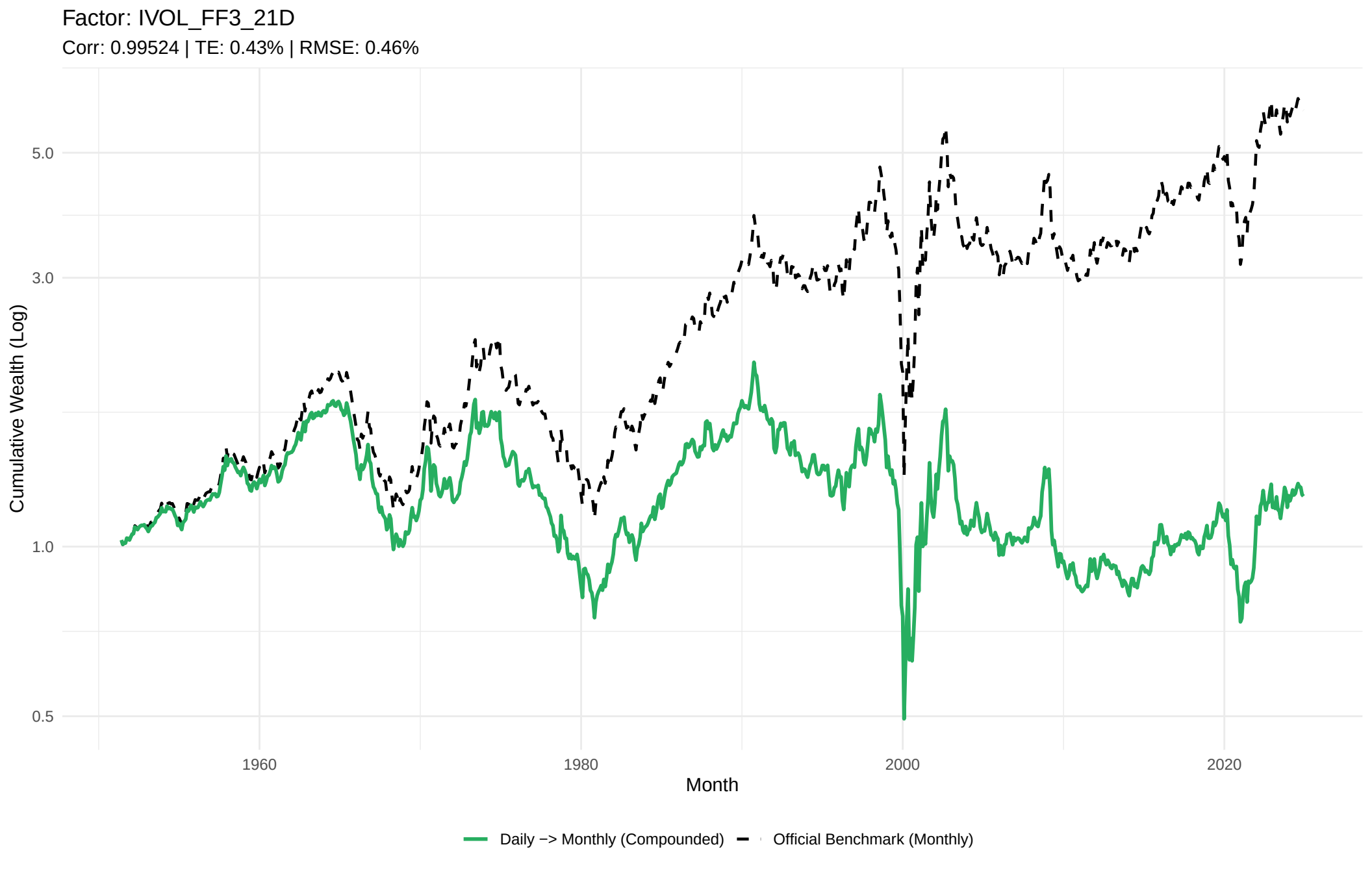
Factor: NI_BE
Corr: 0.98313 | TE: 0.49% | RMSE: 0.49%
Cumulative Wealth (Log)
5
3
1
1960
1980
2000
2020
Month
Daily −> Monthly (Compounded)
Official Benchmark (Monthly)

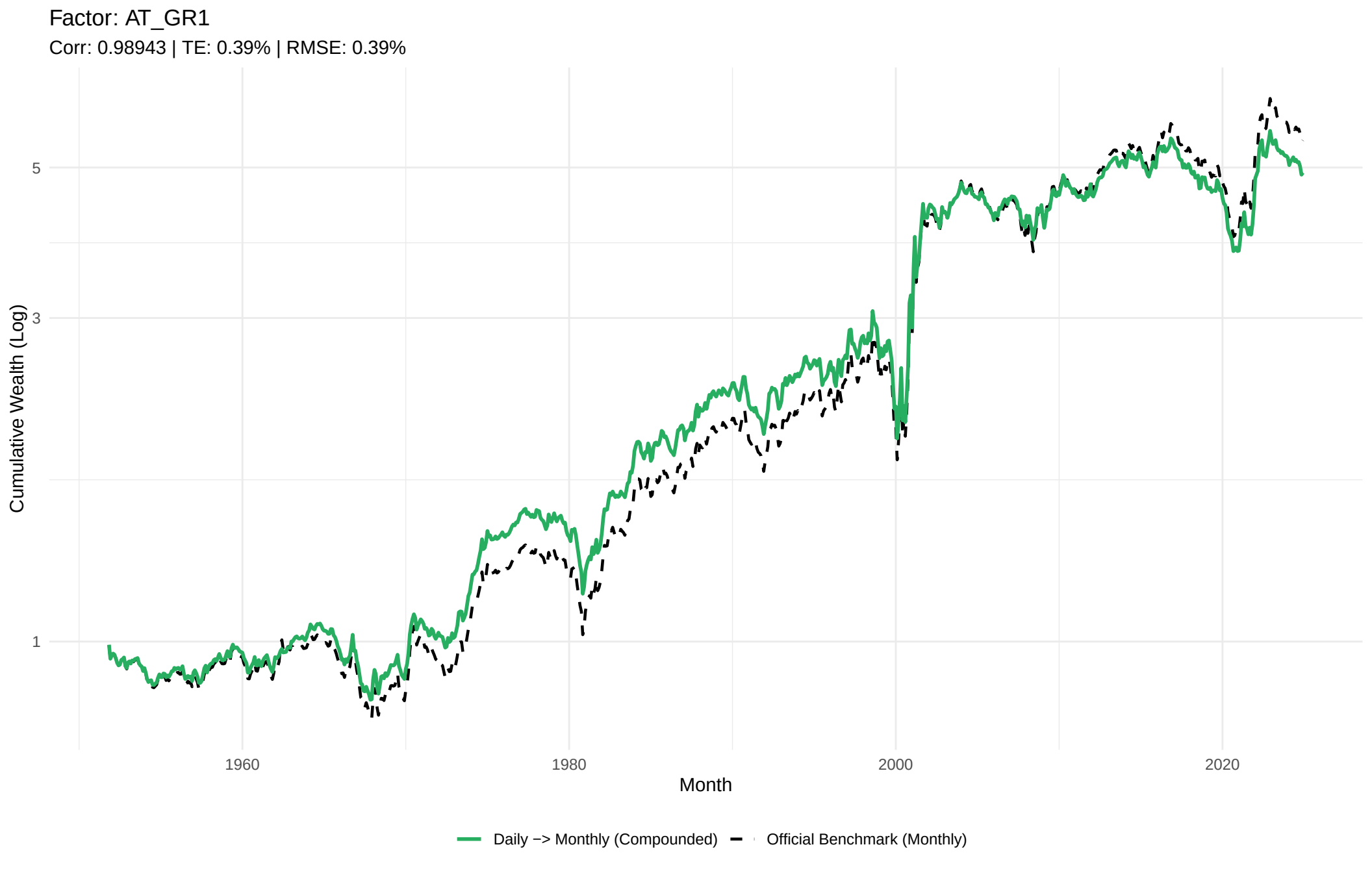

Factor: NI_ME
Corr: 0.98431 | TE: 0.69% | RMSE: 0.69%
Cumulative Wealth (Log)
10
3
1
1960
1980
2000
2020
Month
Daily −> Monthly (Compounded)
Official Benchmark (Monthly)

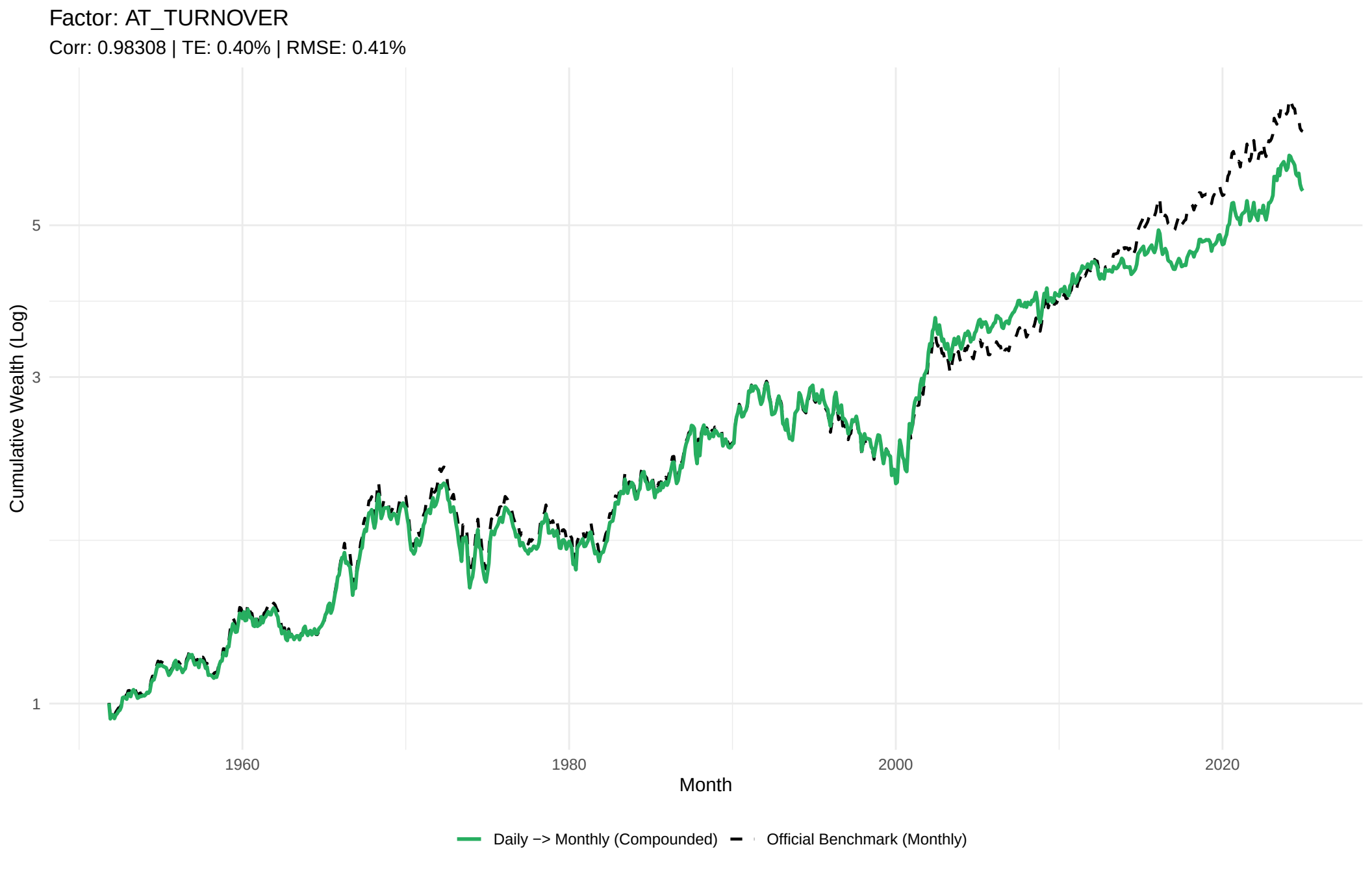

Factor: OCF_ME
Corr: 0.98271 | TE: 0.66% | RMSE: 0.66%
Cumulative Wealth (Log)
30
10
3
1
1960
1980
2000
2020
Month
Daily −> Monthly (Compounded)
Official Benchmark (Monthly)

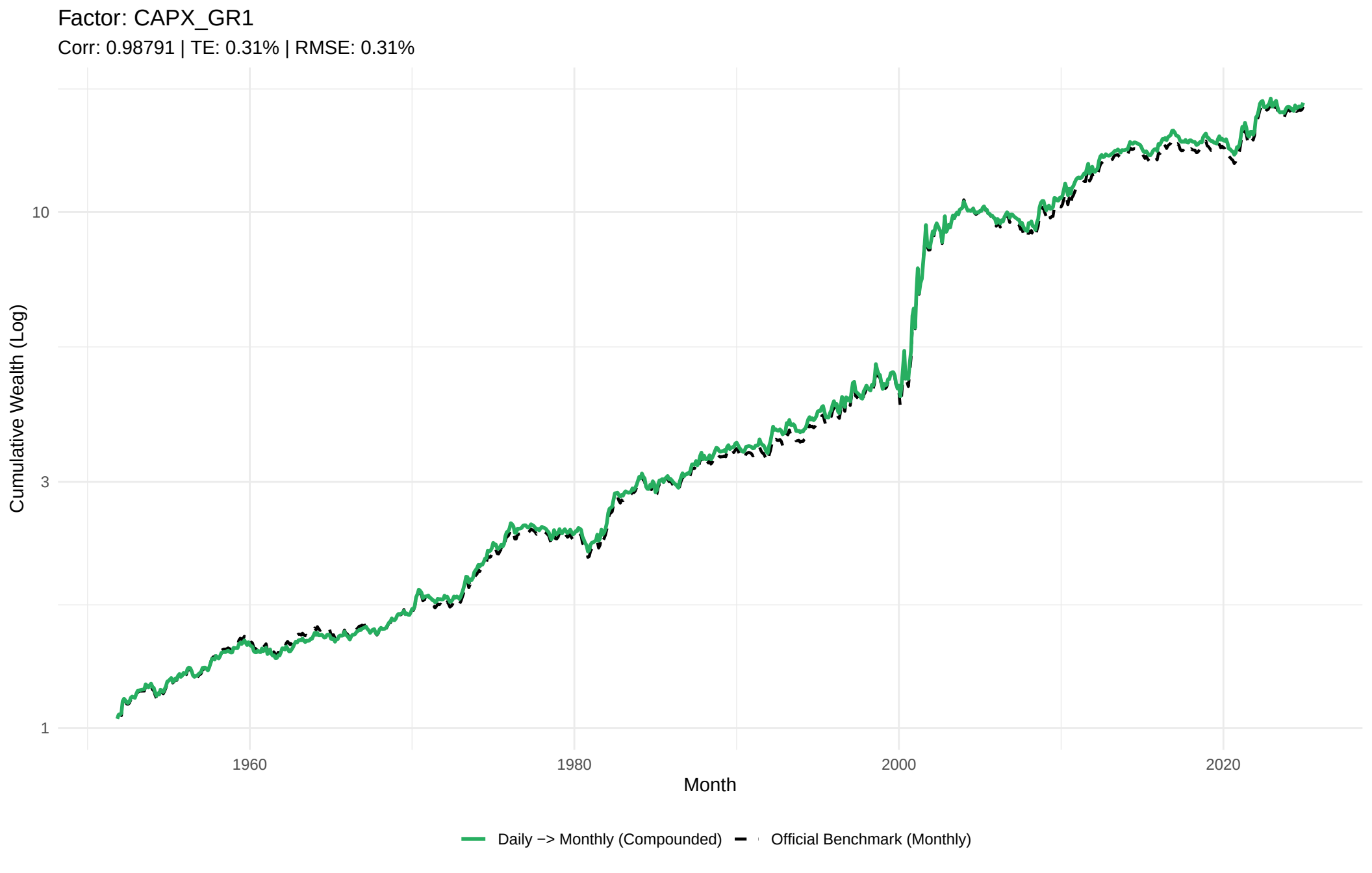

Factor: OPE_BE
Corr: 0.98169 | TE: 0.49% | RMSE: 0.50%
Cumulative Wealth (Log)
10
3
1
1960
1980
2000
2020
Month
Daily −> Monthly (Compounded)
Official Benchmark (Monthly)

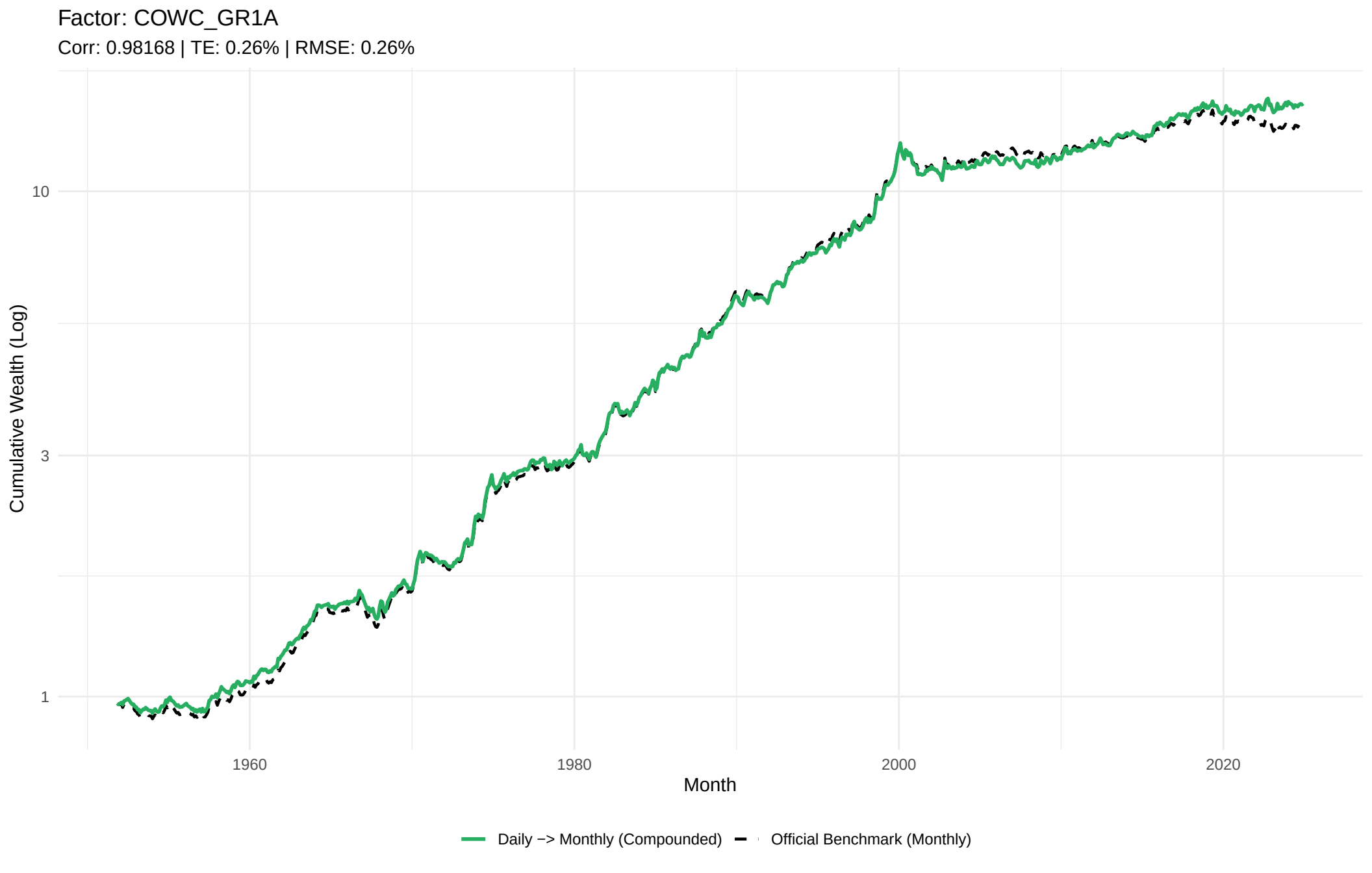

Factor: SALE_ME
Corr: 0.98264 | TE: 0.67% | RMSE: 0.66%
Cumulative Wealth (Log)
10
3
1
1960
1980
2000
2020
Month
Daily −> Monthly (Compounded)
Official Benchmark (Monthly)

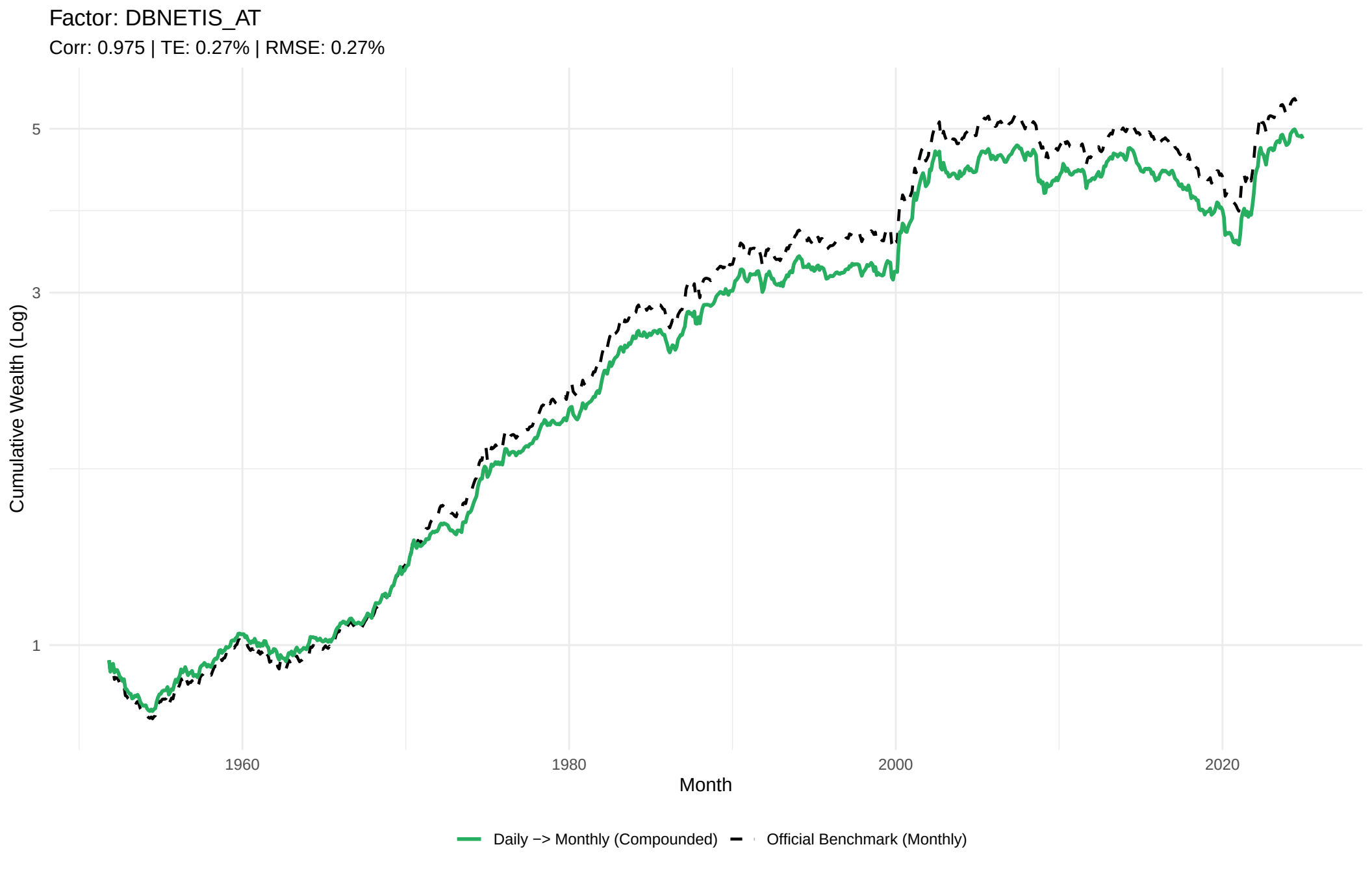

Factor: IVOL_FF3_21D
Corr: 0.99524 | TE: 0.43% | RMSE: 0.46%
Cumulative Wealth (Log)
5.0
3.0
1.0
0.5
1960
1980
2000
2020
Month
Daily −> Monthly (Compounded)
Official Benchmark (Monthly)

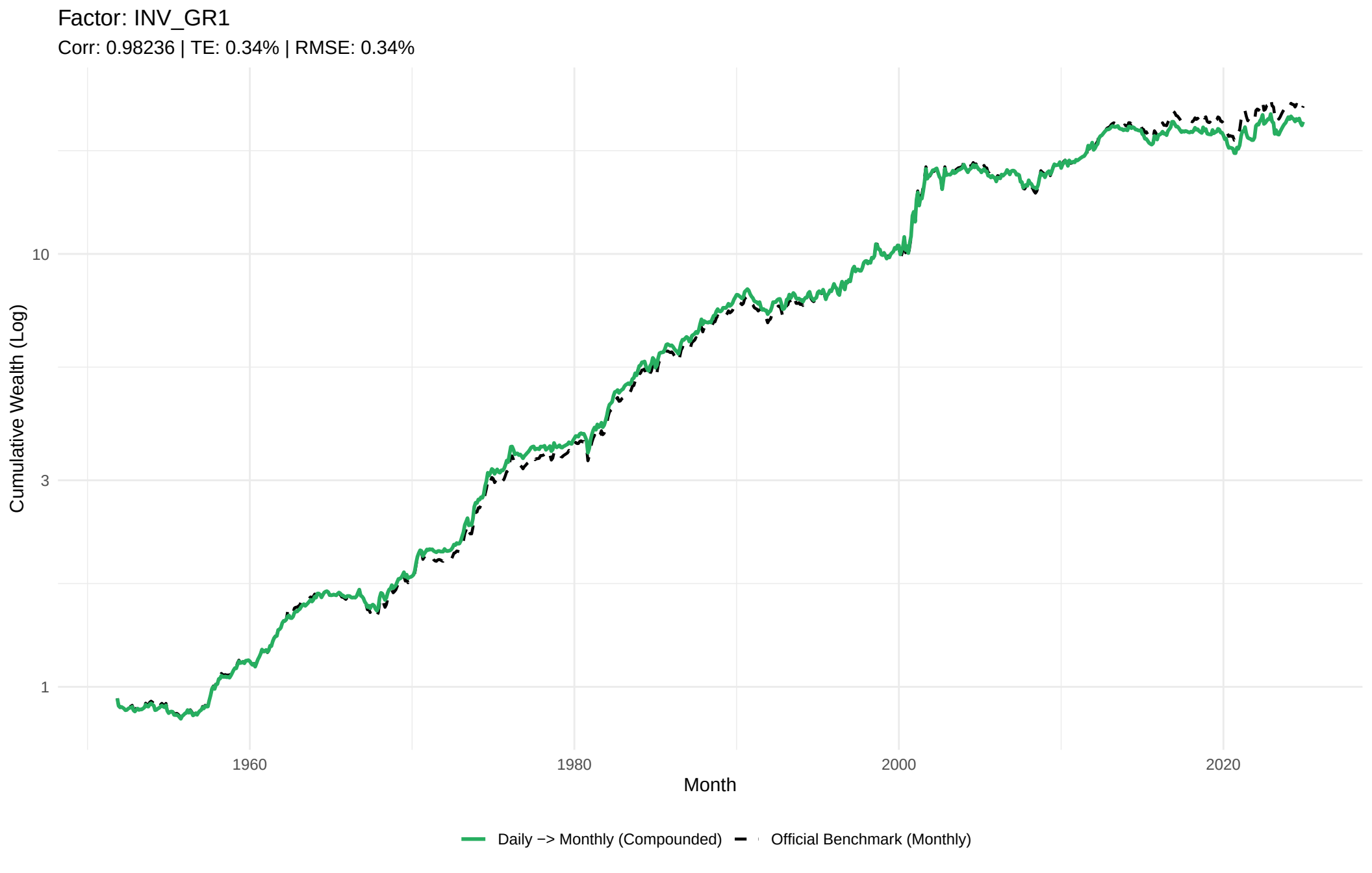

Factor: AT_GR1
Corr: 0.98943 | TE: 0.39% | RMSE: 0.39%
Cumulative Wealth (Log)
5
3
1
1960
1980
2000
2020
Month
Daily −> Monthly (Compounded)
Official Benchmark (Monthly)

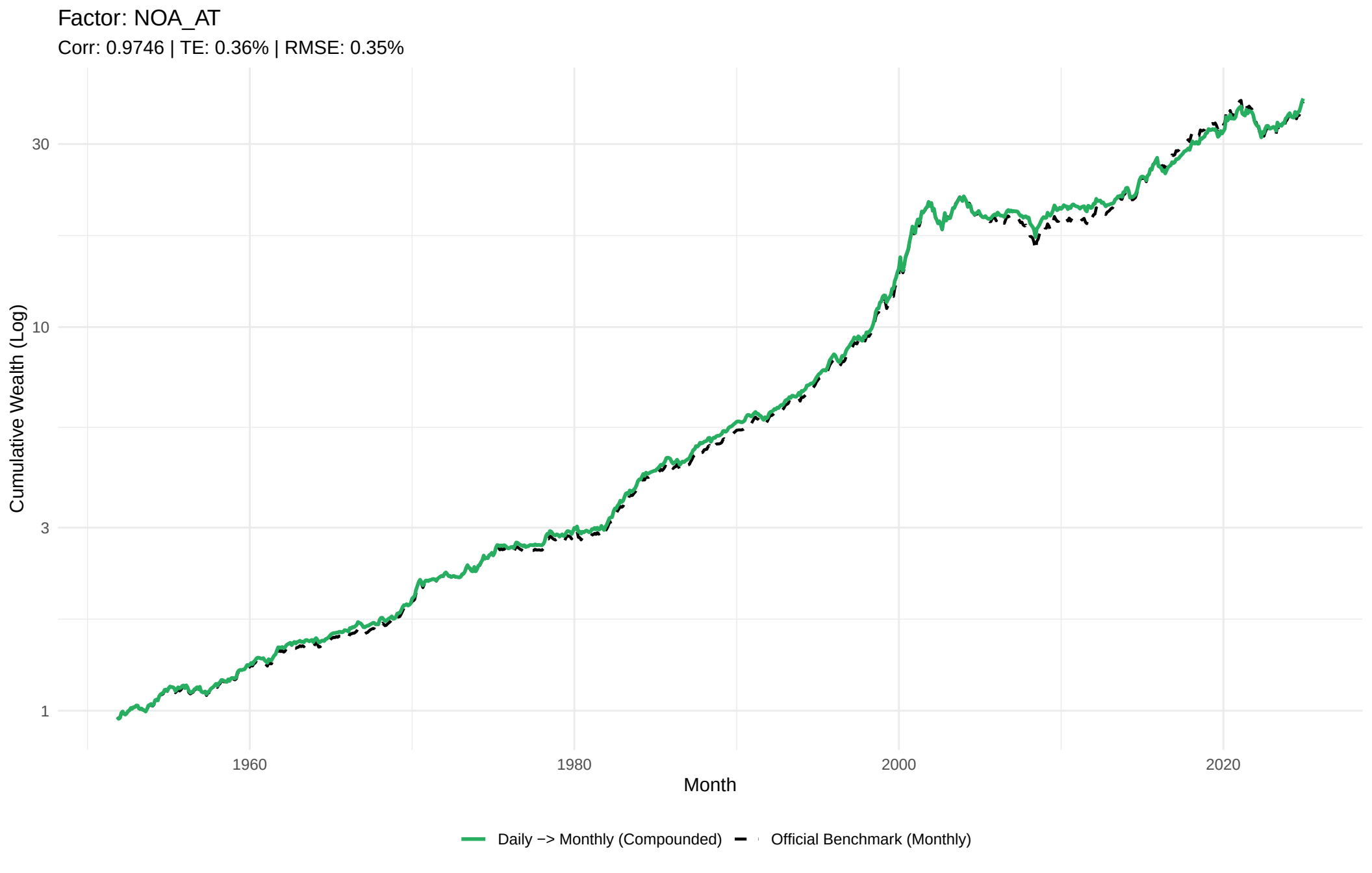

Factor: AT_TURNOVER
Corr: 0.98308 | TE: 0.40% | RMSE: 0.41%
Cumulative Wealth (Log)
5
3
1
1960
1980
2000
2020
Month
Daily –> Monthly (Compounded)
Official Benchmark (Monthly)

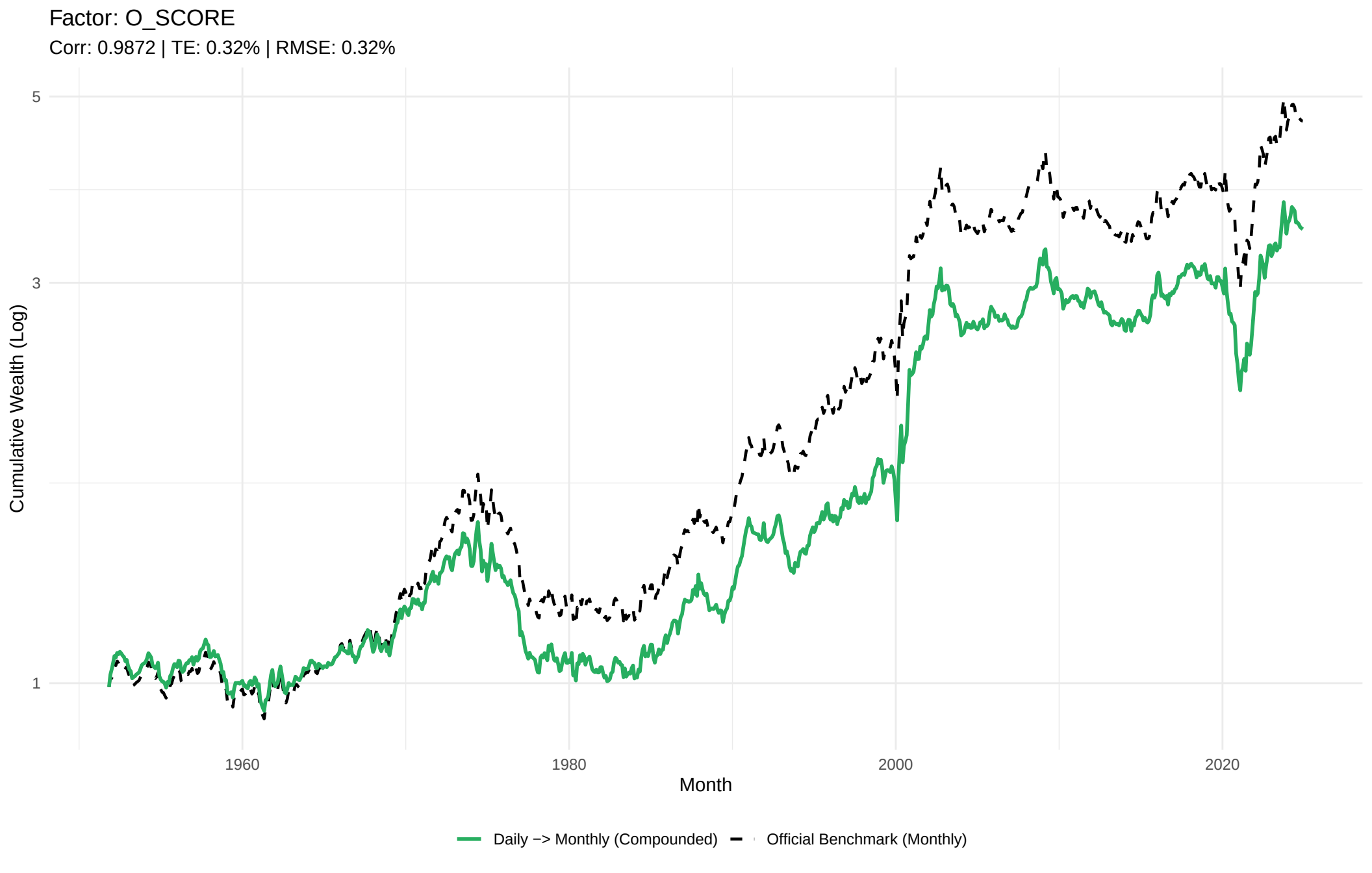

Factor: CAPX_GR1
Corr: 0.98791 | TE: 0.31% | RMSE: 0.31%
Cumulative Wealth (Log)
10
3
1
1960
1980
2000
2020
Month
Daily −> Monthly (Compounded)
Official Benchmark (Monthly)

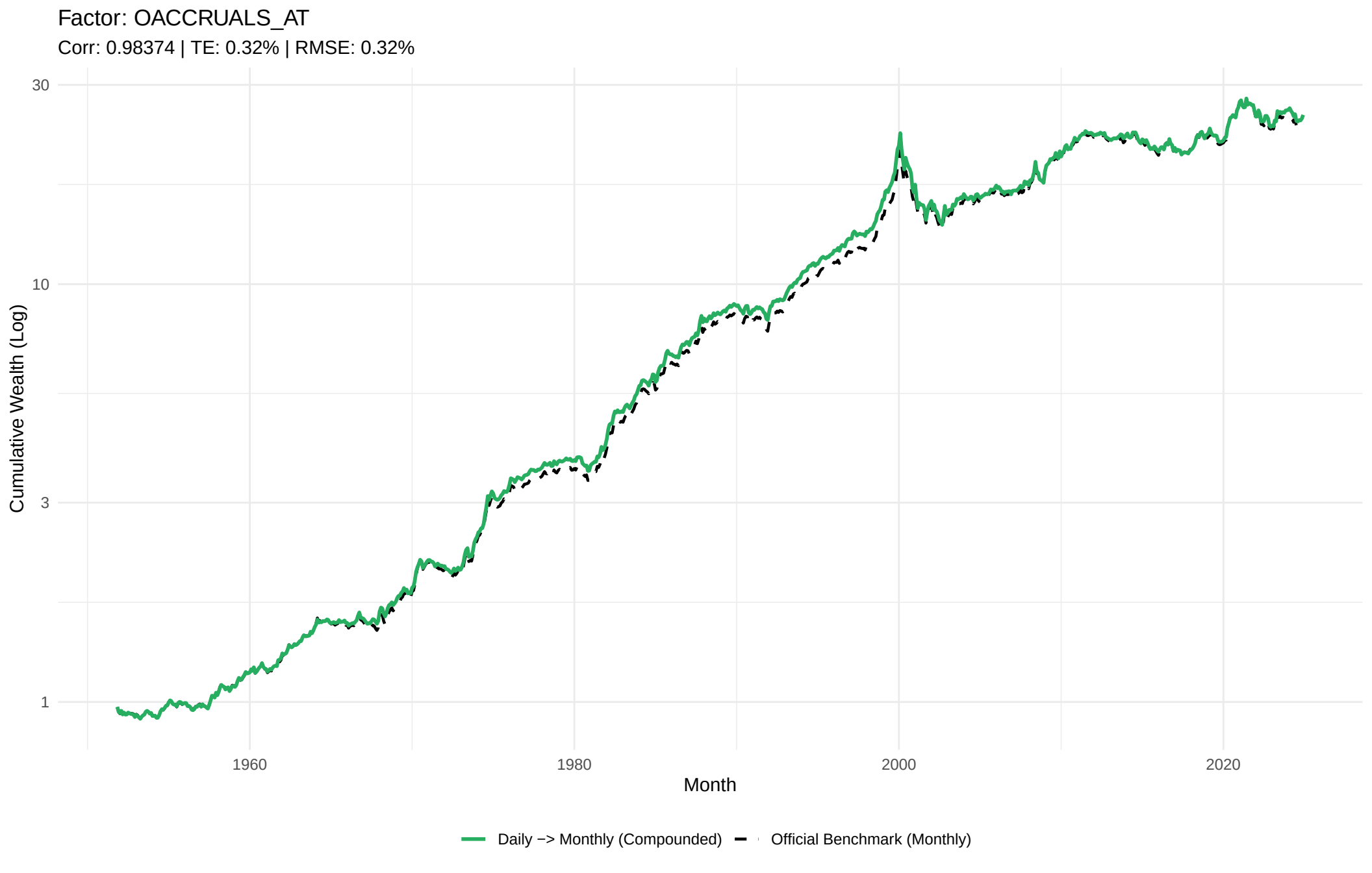

Factor: COWC_GR1A
Corr: 0.98168 | TE: 0.26% | RMSE: 0.26%
Cumulative Wealth (Log)
10
3
1
1960
1980
2000
2020
Month
Daily −> Monthly (Compounded)
Official Benchmark (Monthly)

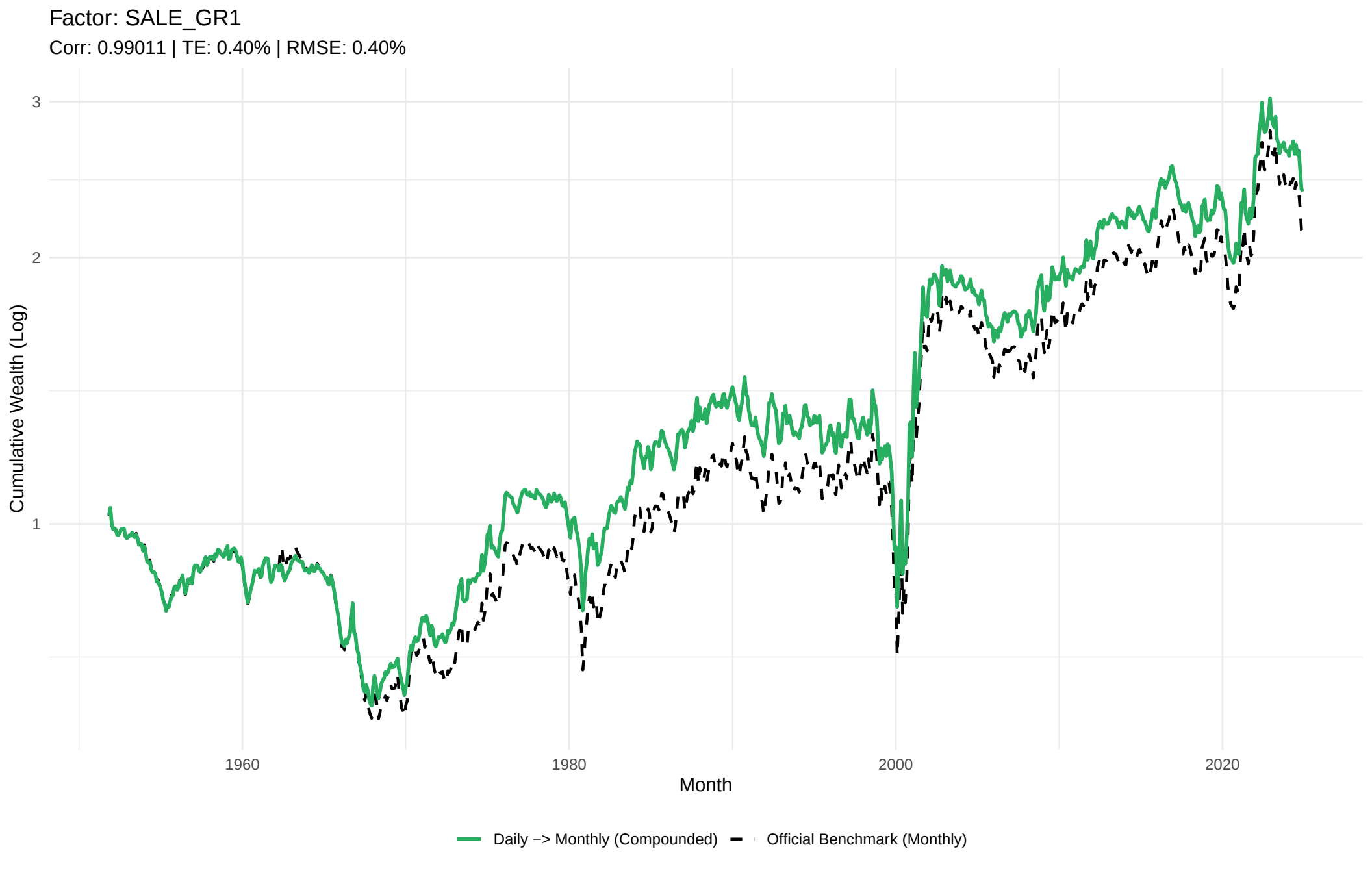

Factor: DBNETIS_AT
Corr: 0.975 | TE: 0.27% | RMSE: 0.27%
Cumulative Wealth (Log)
5
3
1
1960
1980
2000
2020
Month
Daily −> Monthly (Compounded)
Official Benchmark (Monthly)

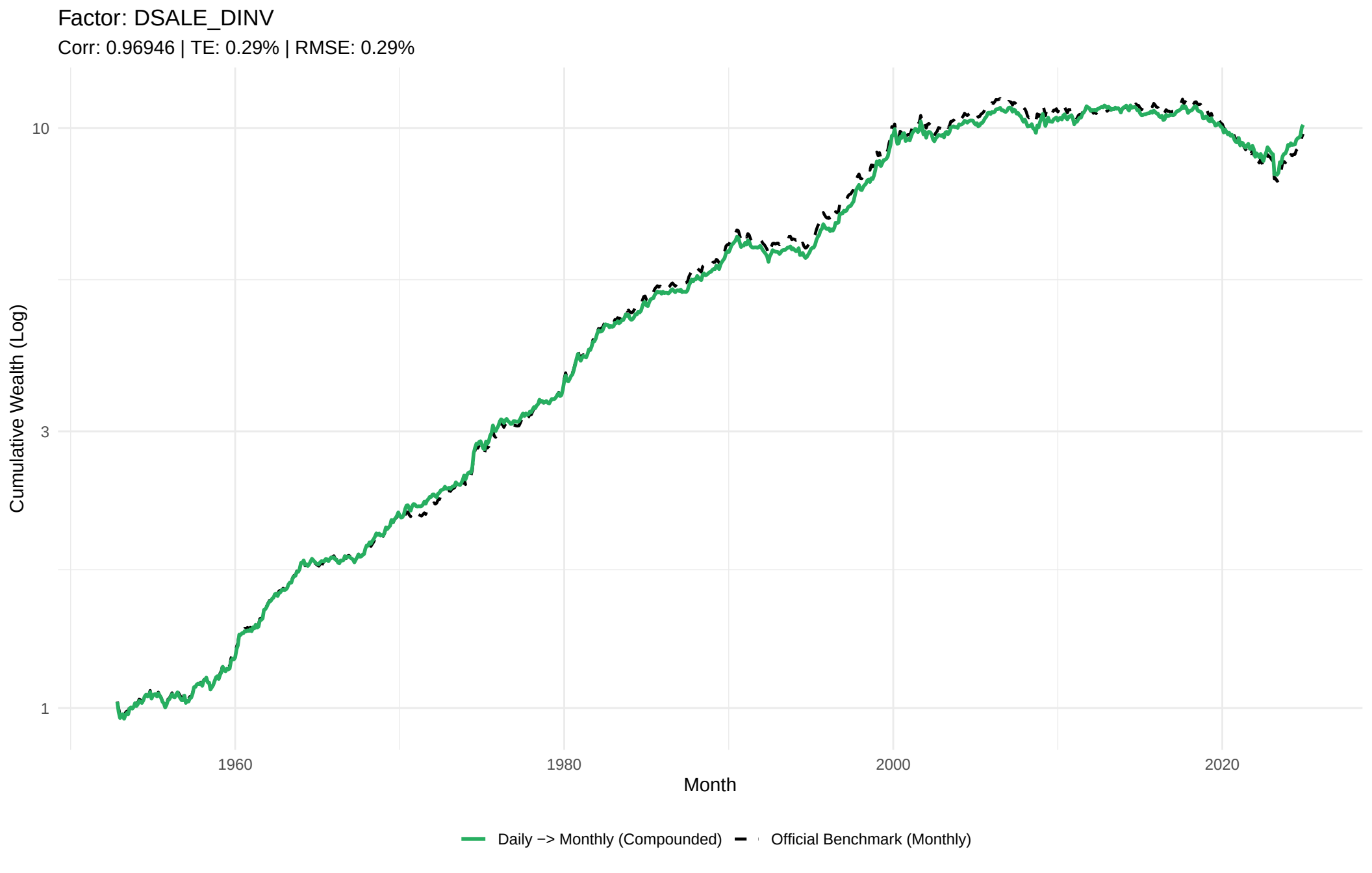

Factor: INV_GR1
Corr: 0.98236 | TE: 0.34% | RMSE: 0.34%
Cumulative Wealth (Log)
10
3
1
1960
1980
2000
2020
Month
Daily −> Monthly (Compounded)
Official Benchmark (Monthly)

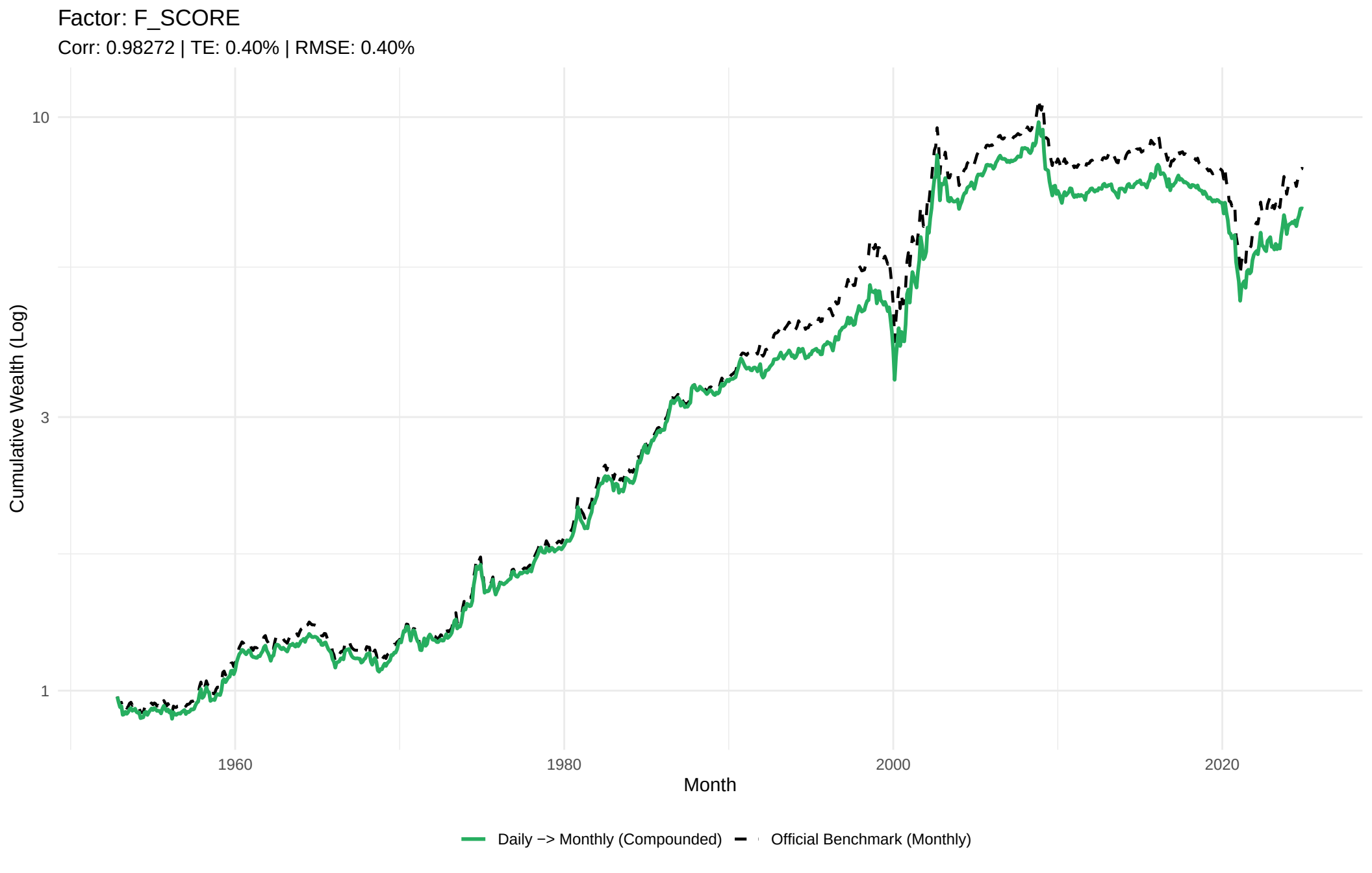

Factor: NOA_AT
Corr: 0.9746 | TE: 0.36% | RMSE: 0.35%
Cumulative Wealth (Log)
30
10
3
1
1960
1980
2000
2020
Month
Daily −> Monthly (Compounded)
Official Benchmark (Monthly)

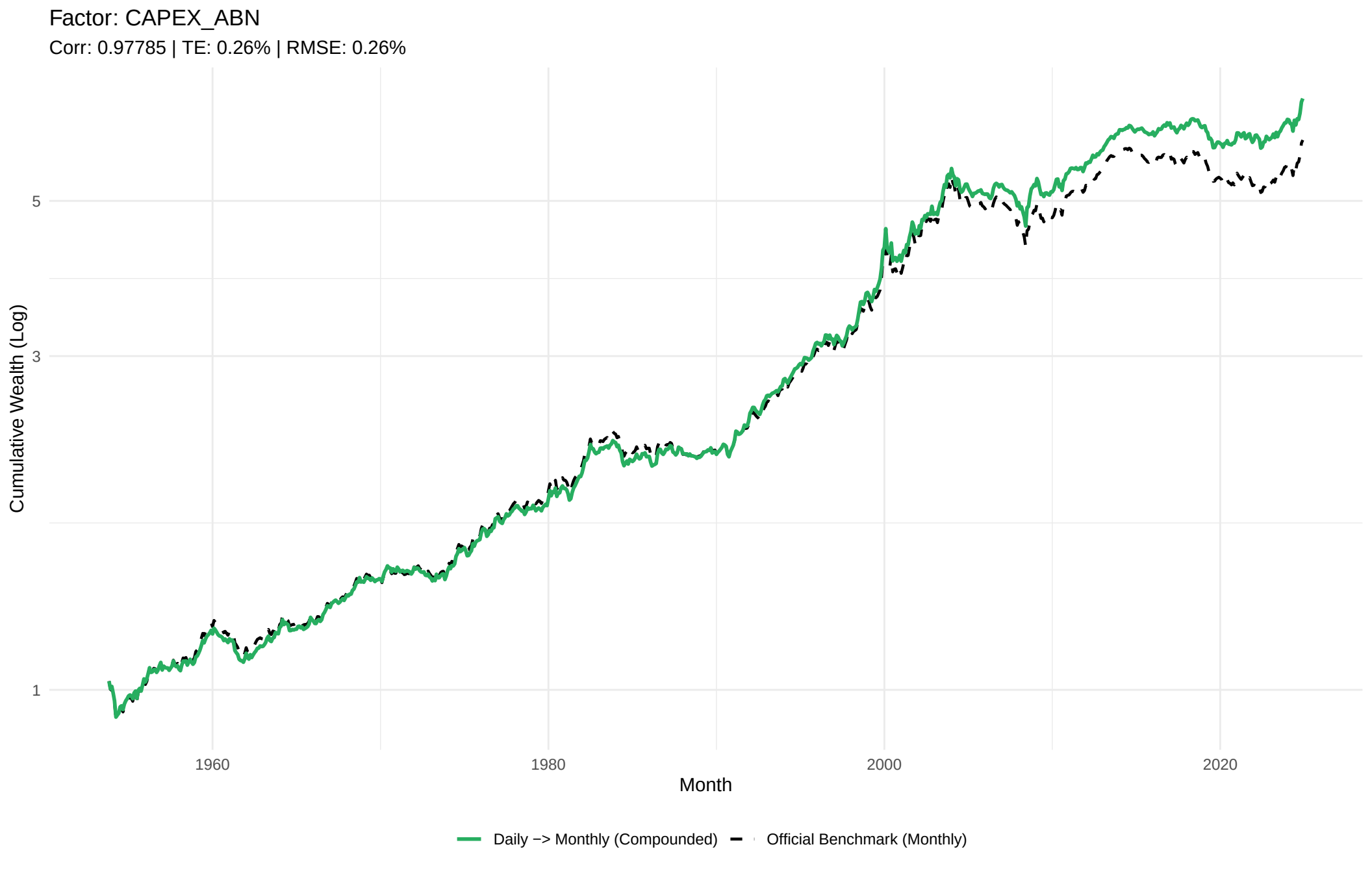

Factor: O_SCORE
Corr: 0.9872 | TE: 0.32% | RMSE: 0.32%
5
3
1
Cumulative Wealth (Log)
1960
1980
2000
2020
Month
Daily −> Monthly (Compounded)
Official Benchmark (Monthly)

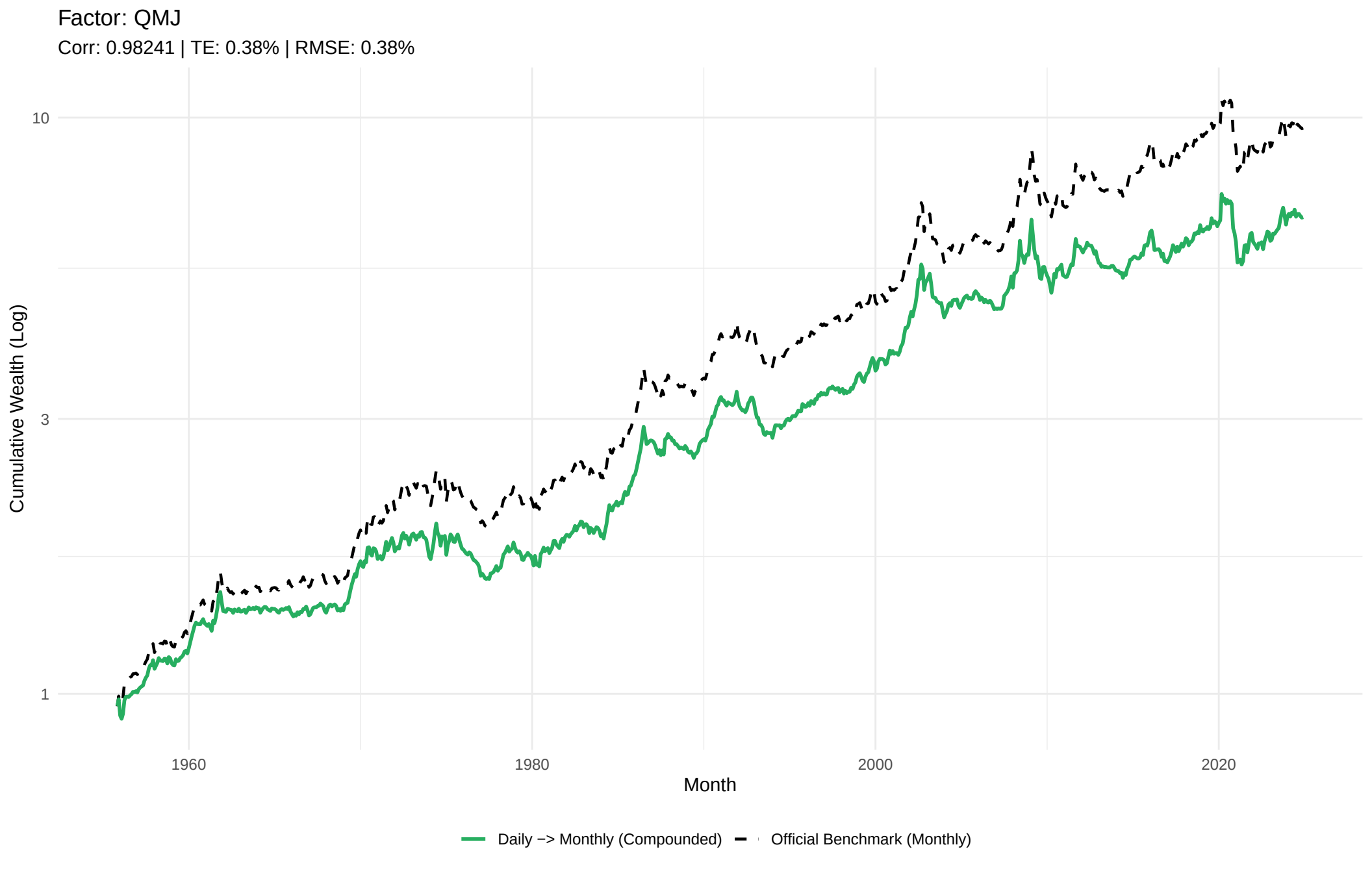

Factor: OACCRUALS_AT
Corr: 0.98374 | TE: 0.32% | RMSE: 0.32%
30
10
3
1
Cumulative Wealth (Log)
1960
1980
2000
2020
Month
Daily −> Monthly (Compounded)
Official Benchmark (Monthly)

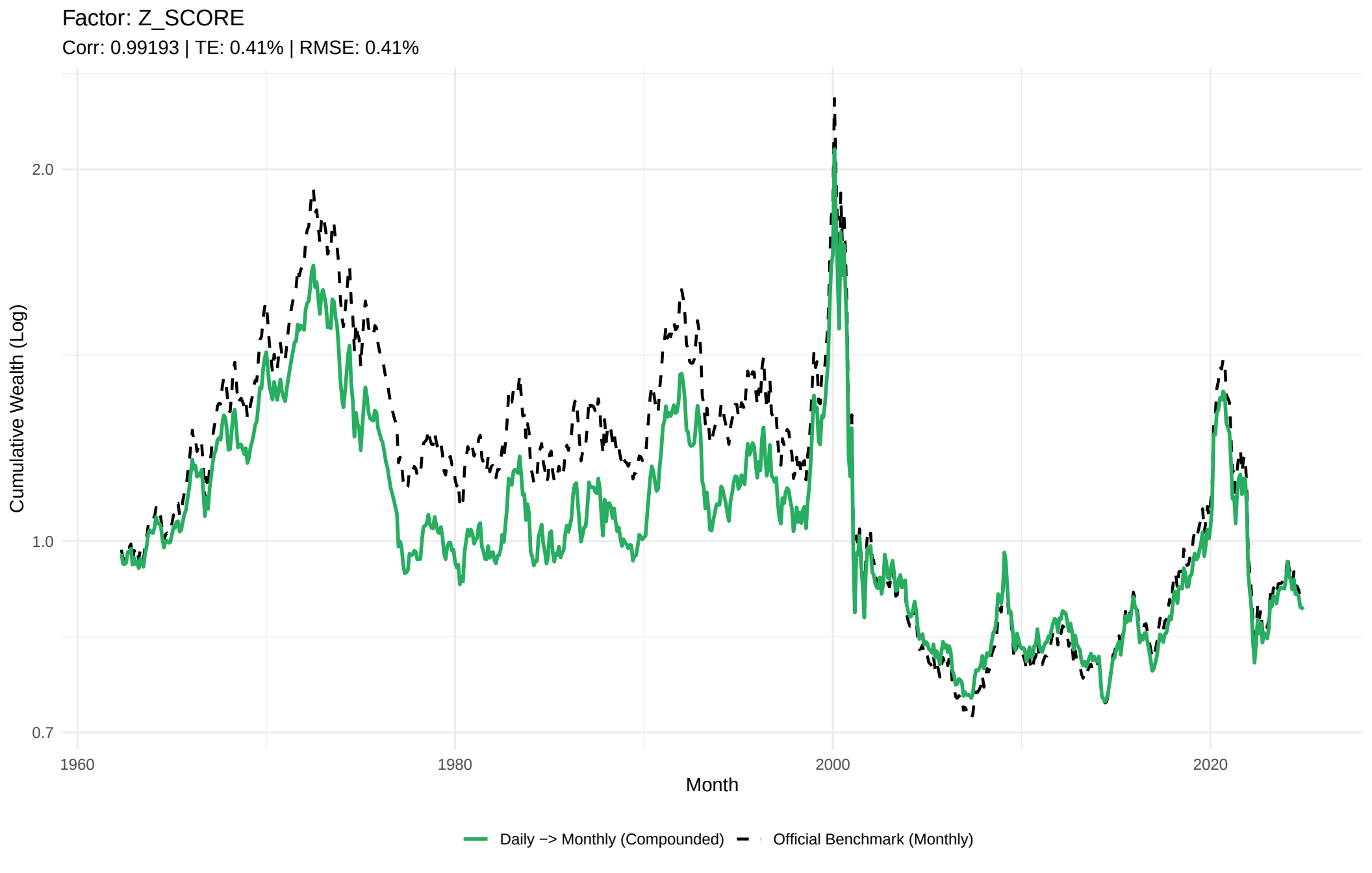

Factor: SALE_GR1
Corr: 0.99011 | TE: 0.40% | RMSE: 0.40%
Cumulative Wealth (Log)
3
2
1
1960
1980
2000
2020
Month
Daily −> Monthly (Compounded)
Official Benchmark (Monthly)

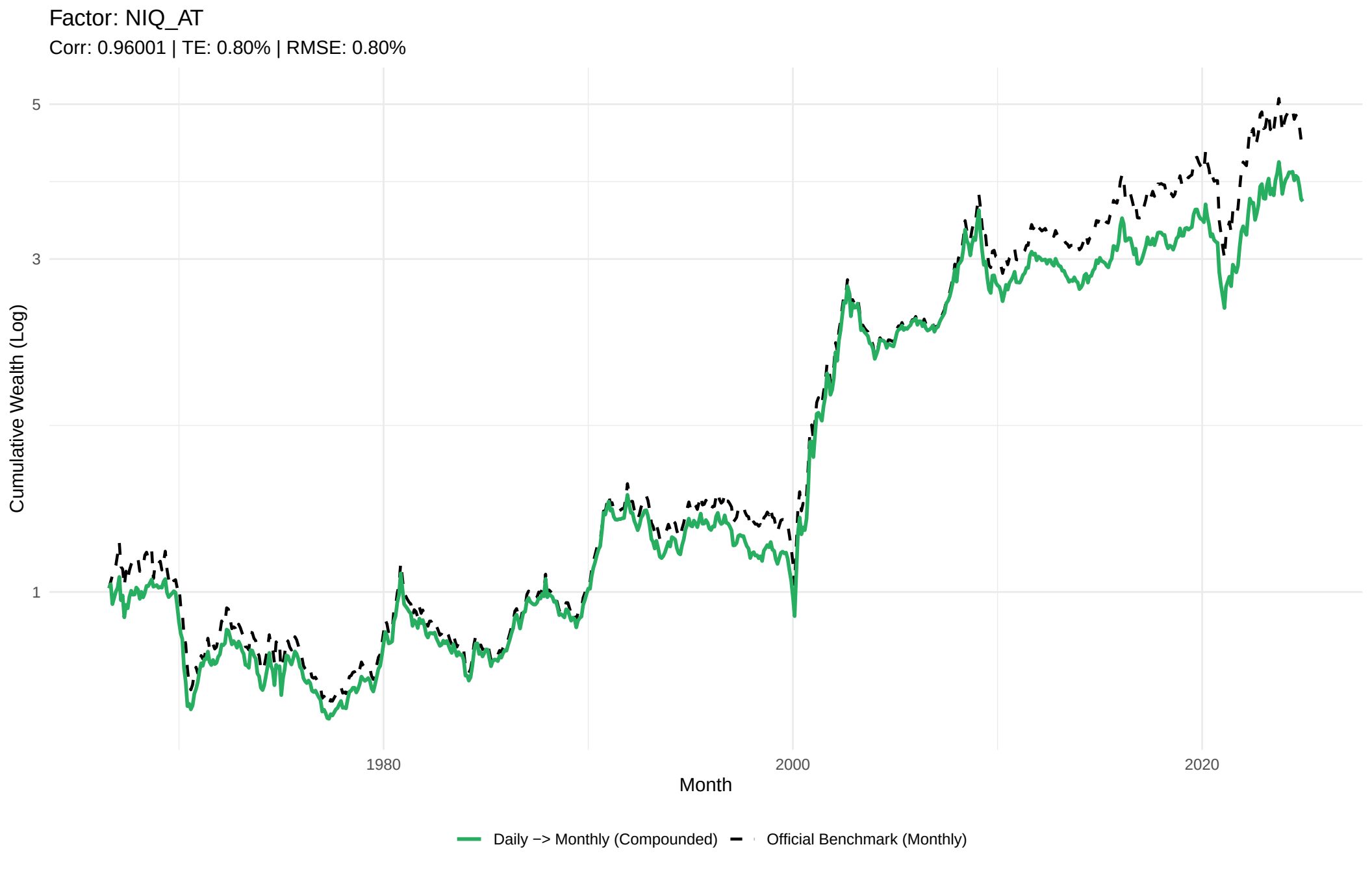

Factor: DSALE_DINV
Corr: 0.96946 | TE: 0.29% | RMSE: 0.29%
10
3
1
Cumulative Wealth (Log)
1960
1980
2000
2020
Month
Daily −> Monthly (Compounded)
Official Benchmark (Monthly)

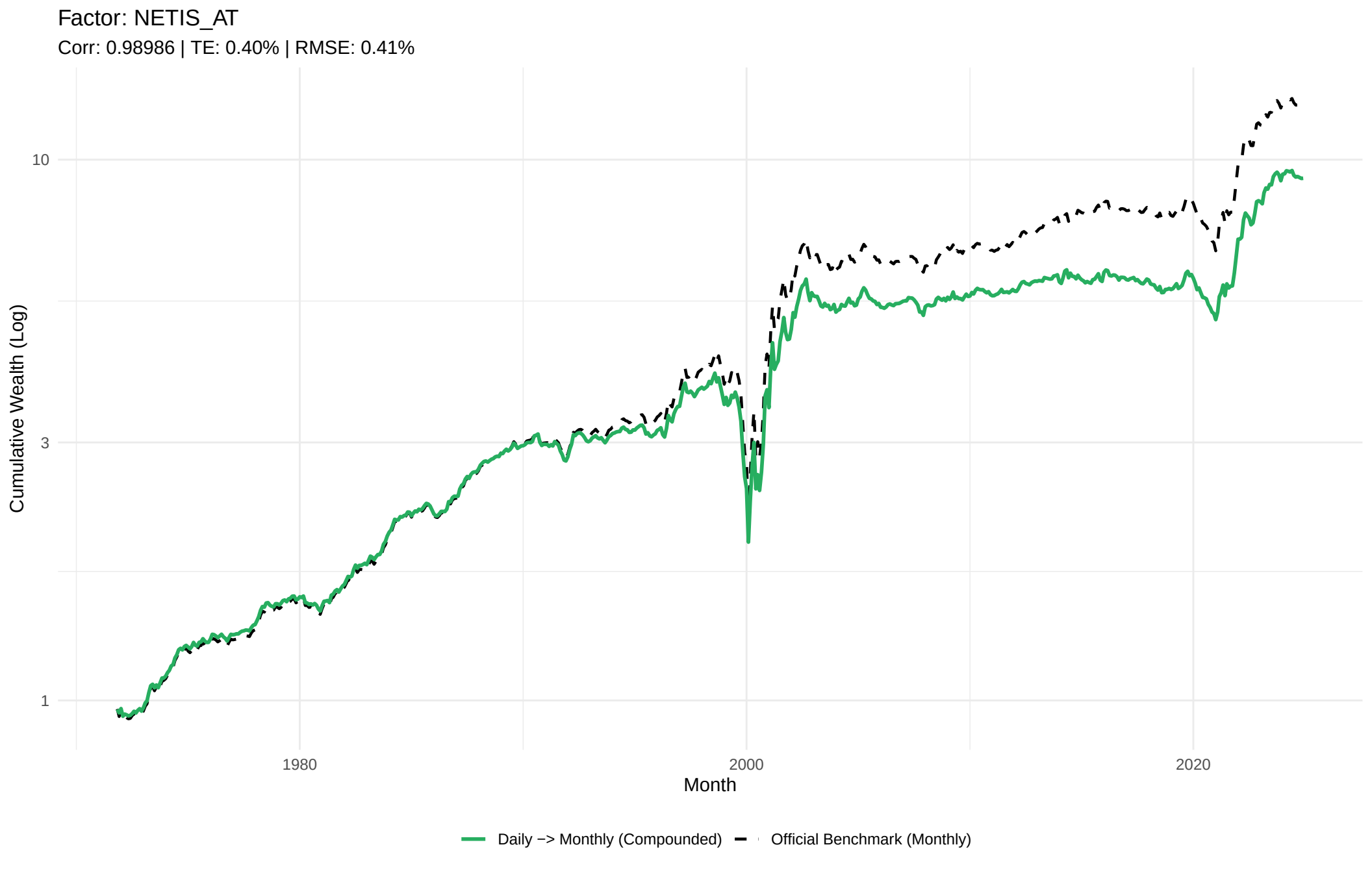

Factor: F_SCORE
Corr: 0.98272 | TE: 0.40% | RMSE: 0.40%
10
3
1
Cumulative Wealth (Log)
1960
1980
2000
2020
Month
Daily −> Monthly (Compounded)
Official Benchmark (Monthly)


Factor: CAPEX_ABN
Corr: 0.97785 | TE: 0.26% | RMSE: 0.26%
Cumulative Wealth (Log)
5
3
1
1960
1980
2000
2020
Month
Daily −> Monthly (Compounded)
Official Benchmark (Monthly)


Factor: QMJ
Corr: 0.98241 | TE: 0.38% | RMSE: 0.38%
10
3
1
Cumulative Wealth (Log)
1960
1980
2000
2020
Month
Daily −> Monthly (Compounded)
Official Benchmark (Monthly)


Factor: Z_SCORE
Corr: 0.99193 | TE: 0.41% | RMSE: 0.41%
Cumulative Wealth (Log)
2.0
1.0
0.7
1960
1980
2000
2020
Month
Daily −> Monthly (Compounded)
Official Benchmark (Monthly)


Factor: NIQ_AT
Corr: 0.96001 | TE: 0.80% | RMSE: 0.80%
5
3
1
Cumulative Wealth (Log)
1980
2000
2020
Month
Daily −> Monthly (Compounded)
Official Benchmark (Monthly)


Factor: NETIS_AT
Corr: 0.98986 | TE: 0.40% | RMSE: 0.41%
Cumulative Wealth (Log)
10
3
1
1980
2000
2020
Month
Daily −> Monthly (Compounded)
Official Benchmark (Monthly)